

```
In [ ]: #六因子模型，此處為六因子內部構造
# Momentum: 0.3*Z(3M Return) + 0.3*Z(6M Return) + 0.4*Z(12-1M Return)
# Value: 0.3*Z(FCF Yield) + 0.3*Z(Earnings Yield) + 0.4*Z(EBITDA/EV)
# Quality: 0.35*Z(ROIC) + 0.25*Z(Operating Margin) + 0.20*Z(FCF Margin)
# Growth: 0.4*Z(3Y Revenue CAGR) + 0.4*Z(3Y EPS CAGR) + 0.2*Z(3Y FCF CAGR)
# Low Volatility: -0.6*Z(60D Volatility) - 0.4*Z(252D Volatility)
# Liquidity: 0.7*Z(log(20D ADV)) + 0.3*Z(log(60D ADV))
```

```
In [3]: %pip install seaborn
import numpy as np
import pandas as pd
import yfinance as yf

from scipy.optimize import minimize

import matplotlib.pyplot as plt
import seaborn as sns

# ----- Factor Weights -----
FACTOR_WEIGHTS = {
    "momentum": 0.20,
    "value": 0.15,
    "quality": 0.20,
    "growth": 0.20,
    "low_volatility": 0.15,
    "liquidity": 0.10
}

# Make sure factor weights sum to 1
assert abs(sum(FACTOR_WEIGHTS.values()) - 1.0) < 1e-8

# ----- Stock Selection -----
TOP_N = 25

# ----- Rebalancing -----
REBALANCE_FREQUENCY = "monthly"

# ----- Market Universe -----
UNIVERSE = "NASDAQ_100"

# =====
# 2. Backtest Parameters
# =====

START_DATE = "2018-01-01"
END_DATE = "2026-01-01"

# Transaction cost
TRANSACTION_COST = 0.001
```

```

# Benchmark
BENCHMARK = "QQQ"

# =====
# 3. Portfolio Optimization Parameters
# =====

# Maximum weight of a single stock
MAX_WEIGHT = 0.10

# Minimum weight of a selected stock
MIN_WEIGHT = 0.00

# Target number of holdings
TARGET_HOLDINGS = TOP_N

```

Requirement already satisfied: seaborn in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (0.13.2)

Requirement already satisfied: numpy!=1.24.0,>=1.20 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from seaborn) (2.5.3)

Requirement already satisfied: pandas>=1.2 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from seaborn) (3.0.6)

Requirement already satisfied: matplotlib!=3.6.1,>=3.4 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from seaborn) (3.11.2)

Requirement already satisfied: contourpy>=1.0.1 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from matplotlib!=3.6.1,>=3.4->seaborn) (1.4.0)

Requirement already satisfied: cycler>=0.10 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from matplotlib!=3.6.1,>=3.4->seaborn) (0.12.1)

Requirement already satisfied: fonttools>=4.28.2 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from matplotlib!=3.6.1,>=3.4->seaborn) (4.65.0)

Requirement already satisfied: kiwisolver>=1.3.1 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from matplotlib!=3.6.1,>=3.4->seaborn) (1.5.1)

Requirement already satisfied: packaging>=20.0 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from matplotlib!=3.6.1,>=3.4->seaborn) (26.3)

Requirement already satisfied: pillow>=9 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from matplotlib!=3.6.1,>=3.4->seaborn) (12.3.0)

Requirement already satisfied: pyparsing>=3 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from matplotlib!=3.6.1,>=3.4->seaborn) (3.3.2)

Requirement already satisfied: python-dateutil>=2.7 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from matplotlib!=3.6.1,>=3.4->seaborn) (2.9.0.post0)

Requirement already satisfied: six>=1.5 in /Users/yanagiakane/portfolio-env/lib/python3.14/site-packages (from python-dateutil>=2.7->matplotlib!=3.6.1,>=3.4->seaborn) (1.17.0)

Note: you may need to restart the kernel to use updated packages.

```
In [4]: #環境插件測試用
import index_constitution as ic

print(ic.list_indices())
```

```
['csi300', 'csi500', 'sp500', 'nasdaq100', 'dow30']
```

```
In [5]: # =====
# 4. Get Historical Nasdaq-100 Constituents
# =====

import index_constitution as ic

def get_nasdaq100_constituents(date):
    """
    Get Nasdaq-100 constituent securities as of a specific date.
    """

    df = ic.constituents_at("nasdaq100", date)

    date = pd.Timestamp(date)

    active = df[
        (pd.to_datetime(df["opt-in"]) <= date) &
        (
            df["opt-out"].isna() |
            (pd.to_datetime(df["opt-out"]) > date)
        )
    ]

    return sorted(active["symbol"].tolist())

# Test
TICKERS = get_nasdaq100_constituents("2020-01-31")

print(f"Number of securities in universe: {len(TICKERS)}")
print(TICKERS)
```

```
Number of securities in universe: 103
['AAL', 'AAPL', 'ADBE', 'ADI', 'ADP', 'ADSK', 'ALGN', 'ALXN', 'AMA
T', 'AMD', 'AMGN', 'AMZN', 'ANSS', 'ASML', 'ATVI', 'AVGO', 'BIDU', '
BIIB', 'BKNG', 'BMRN', 'CDNS', 'CDW', 'CERN', 'CHKP', 'CHTR', 'CMCS
A', 'COST', 'CPRT', 'CSCO', 'CSGP', 'CSX', 'CTAS', 'CTSH', 'CTXS', '
DLTR', 'EA', 'EBAY', 'EXC', 'EXPE', 'FAST', 'FISV', 'FOX', 'FOXA', '
GILD', 'GOOG', 'GOOGL', 'IDXX', 'ILMN', 'INCY', 'INTC', 'INTU', 'ISR
G', 'JD', 'KHC', 'KLAC', 'LBTYA', 'LBTYK', 'LRCX', 'LULU', 'MAR', 'M
CHP', 'MDLZ', 'MELI', 'META', 'MNST', 'MSFT', 'MU', 'MXIM', 'NFLX',
'NTAP', 'NTES', 'NVDA', 'NXPI', 'ORLY', 'PAYX', 'PCAR', 'PEP', 'PYP
L', 'QCOM', 'REGN', 'ROST', 'SBUX', 'SGEN', 'SIRI', 'SNPS', 'SPLK',
'SWKS', 'TCOM', 'TMUS', 'TSLA', 'TTWO', 'TXN', 'UAL', 'ULTA', 'VRS
K', 'VRSN', 'VRTX', 'WBA', 'WDAY', 'WDC', 'WTW', 'XEL', 'XLNX']
```

```
In [6]: # 測試用

for date in ["2018-01-31", "2020-01-31", "2022-01-31", "2024-01-31"]
```

```
tickers = get_nasdaq100_constituents(date)

print(f"{date}: {len(tickers)} stocks")
```

```
2018-01-31: 105 stocks
2020-01-31: 103 stocks
2022-01-31: 101 stocks
2024-01-31: 101 stocks
```

```
In [7]: # =====
# 5. Download Historical Price and Volume Data
# =====

#由於動量因子中包含12M-1，我們往前拉取一年數據
PRICE_START = "2017-01-01"
PRICE_END = END_DATE

price_data = yf.download(
    TICKERS,
    start=PRICE_START,
    end=PRICE_END,
    auto_adjust=True,
    group_by="column",
    progress=True
)

print(price_data.head())
print(price_data.shape)
```

```

[*****          13%          ] 13 of 103 comple
ted$SPLK: possibly delisted; no timezone found
[*****          22%          ] 23 of 103 comple
ted$MXIM: possibly delisted; no timezone found
[*****          43%          ] 44 of 103 comple
ted$ATVI: possibly delisted; no timezone found
[*****          49%          ] 50 of 103 comple
ted$ALXN: possibly delisted; no timezone found
[*****          62%          ] 64 of 103 comple
ted$CTXS: possibly delisted; no timezone found
[*****          70%          ] 72 of 103 comple
ted$XLNX: possibly delisted; no timezone found
[*****          73%          ] 75 of 103 comple
ted$SGEN: possibly delisted; no timezone found
[*****          78%          ] 80 of 103 comple
ted$WBA: possibly delisted; no timezone found
[*****          83%          ] 85 of 103 comple
ted$EA: Data doesn't exist for startDate = 1483246800, endDate = 176
7243600
[*****          83%          ] 86 of 103 comple
ted$CERN: possibly delisted; no timezone found
[*****          92%          ] 95 of 103 comple
ted$ANSS: possibly delisted; no timezone found
[*****         100%          ] 103 of 103 compl
eted

11 Failed downloads:
['SPLK', 'MXIM', 'ATVI', 'ALXN', 'CTXS', 'XLNX', 'SGEN', 'WBA', 'CER
N', 'ANSS']: possibly delisted; no timezone found
['EA']: Data doesn't exist for startDate = 1483246800, endDate = 176
7243600

```

```

Price      Adj Close      ...
Volume \
Ticker      ALXN ANSS ATVI CERN CTXS  EA MXIM SGEN SPLK WBA  ...
ULTA
Date
2017-01-03      NaN NaN NaN NaN NaN NaN NaN NaN NaN NaN ...
662200
2017-01-04      NaN NaN NaN NaN NaN NaN NaN NaN NaN NaN ...
678300
2017-01-05      NaN NaN NaN NaN NaN NaN NaN NaN NaN NaN ...
1279500
2017-01-06      NaN NaN NaN NaN NaN NaN NaN NaN NaN NaN ...
710400
2017-01-09      NaN NaN NaN NaN NaN NaN NaN NaN NaN NaN ...
433500

```

```

Price
\
Ticker      VRSK      VRSN      VRTX WBA      WDAY      WDC      WTW
XEL
Date
2017-01-03  545700  783800  1761900 NaN  1536500  5925717  789800  2
065100
2017-01-04  651800  743700  1667700 NaN  2543500  4833184  477200  2
542600
2017-01-05  394700  596200  2354700 NaN  2756200  4813471  583600  2
611900
2017-01-06  515900  751900  1669800 NaN  1967400  4331899  812200  1
707400
2017-01-09  489600  881700  4522500 NaN  2341800  5172401  467800  1
840100

```

```

Price
Ticker      XLNX
Date
2017-01-03  NaN
2017-01-04  NaN
2017-01-05  NaN
2017-01-06  NaN
2017-01-09  NaN

```

```

[5 rows x 526 columns]
(2262, 526)

```

```

In [8]: # =====
# 5.1 Check Downloaded Data
# =====

close_prices = price_data["Close"]
volumes = price_data["Volume"]

print("Number of price series:", close_prices.shape[1])
print("Number of volume series:", volumes.shape[1])

failed_tickers = [
    ticker for ticker in TICKERS

```

```

    if ticker not in close_prices.columns
    or close_prices[ticker].isna().all()
]

print("\nFailed tickers:")
print(failed_tickers)

print("\nSuccessful tickers:", len(TICKERS) - len(failed_tickers))

```

Number of price series: 103

Number of volume series: 103

Failed tickers:

['ALXN', 'ANSS', 'ATVI', 'CERN', 'CTXS', 'EA', 'MXIM', 'SGEN', 'SPLK', 'WBA', 'XLNX']

Successful tickers: 92

```

In [9]: # =====
# 5.2 Clean Price and Volume Data
# =====

# Adjusted closing prices
close_prices = price_data["Close"].copy()

# Trading volume
volumes = price_data["Volume"].copy()

# Remove securities with no usable price history
valid_tickers = close_prices.columns[
    close_prices.notna().any()
].tolist()

close_prices = close_prices[valid_tickers]
volumes = volumes[valid_tickers]

print("Valid securities:", len(valid_tickers))
print("Price data shape:", close_prices.shape)
print("Volume data shape:", volumes.shape)

```

Valid securities: 92

Price data shape: (2262, 92)

Volume data shape: (2262, 92)

```

In [10]: # Check missing data

missing_prices = close_prices.isna().sum().sort_values(ascending=False)

print("Top missing-price securities:")
print(missing_prices.head(10))

print("\nTotal missing price observations:")
print(close_prices.isna().sum().sum())

```

Top missing-price securities:

Ticker

FOX	550
FOXA	549
FISV	1
ORLY	0
NXPI	0
NVDA	0
NTES	0
NTAP	0
NFLX	0
MU	0

dtype: int64

Total missing price observations:

1100

In [11]: *# Check date range*

```
print("First available date:", close_prices.index.min())
print("Last available date:", close_prices.index.max())

print("\nNumber of trading days:", len(close_prices))
```

First available date: 2017-01-03 00:00:00

Last available date: 2025-12-31 00:00:00

Number of trading days: 2262

In [12]: *#對於沒有數據的股票，我們保留NaN，後續根據實際的數據數量決定能不能計算Return和V*

```
In [13]: # =====
# 5.3 Rebalance Dates
# =====

# Use month-end trading days as signal dates
rebalance_dates = close_prices.resample("ME").last().index

# Keep only dates within the backtest period
rebalance_dates = rebalance_dates[
    (rebalance_dates >= pd.Timestamp(START_DATE)) &
    (rebalance_dates <= pd.Timestamp(END_DATE))
]

print("Number of rebalance dates:", len(rebalance_dates))
print("\nFirst 10 rebalance dates:")
print(rebalance_dates[:10])

print("\nLast 10 rebalance dates:")
print(rebalance_dates[-10:])
```


Number of rebalance dates: 96

First 10 rebalance dates:

```
DatetimeIndex(['2018-01-31', '2018-02-28', '2018-03-31', '2018-04-30',
               '2018-05-31', '2018-06-30', '2018-07-31', '2018-08-31',
               '2018-09-30', '2018-10-31'],
              dtype='datetime64[s]', name='Date', freq='ME')
```

Last 10 rebalance dates:

```
DatetimeIndex(['2025-03-31', '2025-04-30', '2025-05-31', '2025-06-30',
               '2025-07-31', '2025-08-31', '2025-09-30', '2025-10-31',
               '2025-11-30', '2025-12-31'],
              dtype='datetime64[s]', name='Date', freq='ME')
```

```
In [14]: # =====
# 5.4 Historical Universe for Each Rebalance Date
# =====

historical_universe = {}

for date in rebalance_dates:
    tickers = get_nasdaq100_constituents(date)
    historical_universe[date] = tickers

print("Number of securities at each rebalance date:")
for date in rebalance_dates[:10]:
    print(date.date(), len(historical_universe[date]))
```

Number of securities at each rebalance date:

```
2018-01-31 105
2018-02-28 105
2018-03-31 105
2018-04-30 105
2018-05-31 105
2018-06-30 105
2018-07-31 105
2018-08-31 105
2018-09-30 105
2018-10-31 105
```

```
In [15]: print("\nLast 10 rebalance dates:")

for date in rebalance_dates[-10:]:
    print(date.date(), len(historical_universe[date]))
```

Last 10 rebalance dates:

```
2025-03-31 101
2025-04-30 101
2025-05-31 101
2025-06-30 101
2025-07-31 101
2025-08-31 101
2025-09-30 101
2025-10-31 102
2025-11-30 101
2025-12-31 101
```

```
In [16]: # =====
# 5.5 Momentum Factor
# =====

def calculate_momentum(date, universe):
    """
    Calculate Momentum factor for a given rebalance date.

    Momentum =
        0.3 * Z(3M Return)
        + 0.3 * Z(6M Return)
        + 0.4 * Z(12-1M Return)
    """

    momentum_data = pd.DataFrame(index=universe)

    prices = close_prices.loc[:date]

    # Need enough historical data
    if len(prices) < 252:
        return momentum_data

    price_now = prices.iloc[-1]

    # 3-month return
    price_3m = prices.iloc[-63]
    momentum_data["return_3m"] = (
        price_now / price_3m - 1
    ).reindex(universe)

    # 6-month return
    price_6m = prices.iloc[-126]
    momentum_data["return_6m"] = (
        price_now / price_6m - 1
    ).reindex(universe)

    # 12-1 month return
    price_12m = prices.iloc[-252]
    price_1m = prices.iloc[-21]

    momentum_data["return_12_1m"] = (
        price_1m / price_12m - 1
    ).reindex(universe)
```

```

# Only keep stocks with all three signals
momentum_data = momentum_data.dropna(
    subset=[
        "return_3m",
        "return_6m",
        "return_12_1m"
    ]
)

# Cross-sectional Z-score
for column in [
    "return_3m",
    "return_6m",
    "return_12_1m"
]:
    mean = momentum_data[column].mean()
    std = momentum_data[column].std()

    momentum_data[column + "_z"] = (
        (momentum_data[column] - mean) / std
    )

# Composite Momentum Score
momentum_data["momentum"] = (
    0.3 * momentum_data["return_3m_z"]
    + 0.3 * momentum_data["return_6m_z"]
    + 0.4 * momentum_data["return_12_1m_z"]
)

return momentum_data

```

```

In [17]: # 試用
test_date = pd.Timestamp("2025-12-31")

test_universe = historical_universe[test_date]

momentum_test = calculate_momentum(
    test_date,
    test_universe
)

print(momentum_test.head(10))

```

	return_3m	return_6m	return_12_1m	return_3m_z	return_6m_z
AAPL	0.058311	0.275731	0.139906	0.219187	0.475550
ADBE	-0.004239	-0.077298	-0.275886	-0.206848	-0.501725
ADI	0.126155	0.112155	0.300786	0.681276	0.022730
ADP	-0.106866	-0.158352	-0.108469	-0.905845	-0.726102
ADSK	-0.077592	-0.065212	0.042752	-0.706457	-0.468266
AMAT	0.151633	0.351645	0.637656	0.854812	0.685699
AMD	0.261769	0.552897	0.757922	1.604950	1.242815
AMGN	0.108421	0.114266	0.347373	0.560490	0.028574
AMZN	0.037813	0.033168	0.059286	0.079573	-0.195927
ASML	0.040370	0.352394	0.607951	0.096990	0.687771

	return_12_1m_z	momentum
AAPL	-0.194854	0.130479
ADBE	-1.043132	-0.629825
ADI	0.133365	0.264548
ADP	-0.701576	-0.770215
ADSK	-0.393063	-0.509642
AMAT	0.820629	0.790405
AMD	1.065991	1.280726
AMGN	0.228409	0.268083
AMZN	-0.359331	-0.178638
ASML	0.760028	0.539440

```
In [18]: print(
momentum_test["momentum"]
.sort_values(ascending=False)
.head(10)
)
```

```
WDC      3.737506
MU        3.394927
LRCX      1.608406
GOOGL     1.385281
GOOG      1.370270
AMD        1.280726
INTC       1.152124
KLAC       0.802408
AMAT       0.790405
REGN       0.651215
Name: momentum, dtype: float64
```

```
In [19]: print(
momentum_test["momentum"]
.sort_values(ascending=True)
.head(10)
)
```

```

CHTR    -1.553679
PYPL    -1.050382
CPRT    -1.020676
CSGP    -0.929183
VRSK    -0.888704
PAYX    -0.836155
NFLX    -0.782406
MDLZ    -0.775300
ADP      -0.770215
WDAY    -0.729422
Name: momentum, dtype: float64

```

```

In [20]: # =====
# 5.6 Low Volatility Factor
# =====

def calculate_low_volatility(date, universe):
    """
    Calculate Low Volatility factor.

    Low Volatility =
        -0.6 * Z(60D Volatility)
        -0.4 * Z(252D Volatility)
    """

    volatility_data = pd.DataFrame(index=universe)

    prices = close_prices.loc[:date]

    # Need enough historical data
    if len(prices) < 252:
        return volatility_data

    # Daily returns
    returns = prices.pct_change()

    # -----
    # 1. 60-day volatility
    # -----

    volatility_60d = (
        returns.iloc[-60:].std() * np.sqrt(252)
    )

    # -----
    # 2. 252-day volatility
    # -----

    volatility_252d = (
        returns.iloc[-252:].std() * np.sqrt(252)
    )

    volatility_data["volatility_60d"] = (
        volatility_60d.reindex(universe)
    )

```

```

volatility_data["volatility_252d"] = (
    volatility_252d.reindex(universe)
)

# -----
# 3. Remove stocks without sufficient data
# -----

volatility_data = volatility_data.dropna(
    subset=[
        "volatility_60d",
        "volatility_252d"
    ]
)

# -----
# 4. Cross-sectional Z-score
# -----

for column in [
    "volatility_60d",
    "volatility_252d"
]:
    mean = volatility_data[column].mean()
    std = volatility_data[column].std()

    volatility_data[column + "_z"] = (
        (volatility_data[column] - mean) / std
    )

# -----
# 5. Composite Low Volatility Score
# -----

volatility_data["low_volatility"] = (
    -0.6 * volatility_data["volatility_60d_z"]
    -0.4 * volatility_data["volatility_252d_z"]
)

return volatility_data

```

```

In [21]: # Test Low Volatility

volatility_test = calculate_low_volatility(
    test_date,
    test_universe
)

print(volatility_test.head(10))

print("\nNumber of stocks with valid Low Volatility:")
print(len(volatility_test))

print("\nTop 10 Low Volatility:")
print(
    volatility_test["low_volatility"]
)

```

```

        .sort_values(ascending=False)
        .head(10)
    )

    print("\nBottom 10 Low Volatility:")
    print(
        volatility_test["low_volatility"]
        .sort_values(ascending=True)
        .head(10)
    )

```

	volatility_60d	volatility_252d	volatility_60d_z	volatility_252d_z \
AAPL	0.178770	0.324197	-1.112128	-0.196372
ADBE	0.274734	0.304964	-0.304883	-0.357208
ADI	0.313371	0.392458	0.020138	0.374483
ADP	0.199017	0.198767	-0.941811	-1.245316
ADSK	0.200895	0.275545	-0.926011	-0.603238
AMAT	0.411983	0.454174	0.849658	0.890600
AMD	0.612294	0.604422	2.534674	2.147096
AMGN	0.263611	0.274443	-0.398444	-0.612452
AMZN	0.336079	0.343148	0.211156	-0.037883
ASML	0.354507	0.398957	0.366168	0.428829

	low_volatility
AAPL	0.745826
ADBE	0.325813
ADI	-0.161876
ADP	1.063213
ADSK	0.796902
AMAT	-0.866035
AMD	-2.379643
AMGN	0.484047
AMZN	-0.111540
ASML	-0.391232

Number of stocks with valid Low Volatility:
64

Top 10 Low Volatility:

XEL	1.294393
EXC	1.277077
CSX	1.115071
COST	1.092554
ADP	1.063213
MDLZ	1.060452

```

CTAS    1.032541
ORLY    1.019572
PEP     0.981965
KHC     0.977437
Name: low_volatility, dtype: float64

```

```

Bottom 10 Low Volatility:
MU      -2.718859
WDC     -2.429497
AMD     -2.379643
INTC    -1.939993
AVGO    -1.724034
TSLA    -1.692696
MCHP    -1.655664
LRCX    -1.404518
SNPS    -1.044494
AMAT    -0.866035
Name: low_volatility, dtype: float64

```

```

In [22]: # =====
# 5.7 Liquidity Factor
# =====

def calculate_liquidity(date, universe):
    """
    Calculate Liquidity factor.

    Liquidity =
        0.7 * Z(log(20D ADV))
        + 0.3 * Z(log(60D ADV))
    """

    liquidity_data = pd.DataFrame(index=universe)

    prices = close_prices.loc[:date]
    volume = volumes.loc[:date]

    # Need enough historical data
    if len(prices) < 60:
        return liquidity_data

    # -----
    # 1. Dollar trading volume
    # -----

    dollar_volume = prices * volume

    # -----
    # 2. Average Dollar Volume
    # -----

    adv_20d = dollar_volume.iloc[-20:].mean()
    adv_60d = dollar_volume.iloc[-60:].mean()

    liquidity_data["adv_20d"] = (
        adv_20d.reindex(universe)
    )

```



```

)

liquidity_data["adv_60d"] = (
    adv_60d.reindex(universe)
)

# -----
# 3. Remove stocks without sufficient data
# -----

liquidity_data = liquidity_data.dropna(
    subset=[
        "adv_20d",
        "adv_60d"
    ]
)

# Remove non-positive values before taking logarithm
liquidity_data = liquidity_data[
    (liquidity_data["adv_20d"] > 0) &
    (liquidity_data["adv_60d"] > 0)
]

# -----
# 4. Log ADV
# -----

liquidity_data["log_adv_20d"] = np.log(
    liquidity_data["adv_20d"]
)

liquidity_data["log_adv_60d"] = np.log(
    liquidity_data["adv_60d"]
)

# -----
# 5. Cross-sectional Z-score
# -----

for column in [
    "log_adv_20d",
    "log_adv_60d"
]:
    mean = liquidity_data[column].mean()
    std = liquidity_data[column].std()

    liquidity_data[column + "_z"] = (
        (liquidity_data[column] - mean) / std
    )

# -----
# 6. Composite Liquidity Score
# -----

liquidity_data["liquidity"] = (
    0.7 * liquidity_data["log_adv_20d_z"]

```

```

        + 0.3 * liquidity_data["log_adv_60d_z"]
    )

    return liquidity_data

```

In [23]: # Test Liquidity

```

liquidity_test = calculate_liquidity(
    test_date,
    test_universe
)

print(liquidity_test.head(10))

print("\nNumber of stocks with valid Liquidity:")
print(len(liquidity_test))

print("\nTop 10 Liquidity:")
print(
    liquidity_test["liquidity"]
    .sort_values(ascending=False)
    .head(10)
)

print("\nBottom 10 Liquidity:")
print(
    liquidity_test["liquidity"]
    .sort_values(ascending=True)
    .head(10)
)

```

	adv_20d	adv_60d	log_adv_20d	log_adv_60d	log_adv_
20d_z \					
AAPL 68728	1.132138e+10	1.214191e+10	23.149959	23.219929	1.8
ADBE 45148	1.519396e+09	1.302562e+09	21.141579	20.987599	0.2
ADI 65008	9.147970e+08	9.162641e+08	20.634213	20.635815	-0.1
ADP 81343	6.185592e+08	5.529240e+08	20.242903	20.130731	-0.4
ADSK 96825	4.186940e+08	4.171076e+08	19.852651	19.848855	-0.7
AMAT 85629	1.597417e+09	1.742311e+09	21.191654	21.278478	0.2
AMD 04838	5.635896e+09	1.161607e+10	22.452422	23.175656	1.3
AMGN 32970	9.517798e+08	8.373545e+08	20.673844	20.545758	-0.1
AMZN 85052	7.970788e+09	1.039079e+10	22.799049	23.064186	1.5
ASML 71380	1.225514e+09	1.452147e+09	20.926626	21.096309	0.0
	log_adv_60d_z	liquidity			
AAPL	1.853841	1.864262			

ADBE	0.083185	0.196559
ADI	-0.195845	-0.174259
ADP	-0.596472	-0.515882
ADSK	-0.820052	-0.803793
AMAT	0.313907	0.294112
AMD	1.818724	1.459003
AMGN	-0.267277	-0.173262
AMZN	1.730307	1.628629
ASML	0.169412	0.100790

Number of stocks with valid Liquidity:
64

Top 10 Liquidity:

TSLA	2.762694
NVDA	2.656656
AVGO	1.974921
AAPL	1.864262
MSFT	1.822979
META	1.800782
GOOGL	1.718414
AMZN	1.628629
AMD	1.459003
MU	1.419539

Name: liquidity, dtype: float64

Bottom 10 Liquidity:

CSGP	-1.195515
FAST	-1.093916
EXC	-1.089132
VRSK	-1.079377
KHC	-1.051998
CPRT	-1.021735
TTWO	-0.964708
PCAR	-0.955706
IDXX	-0.932022
CHTR	-0.907670

Name: liquidity, dtype: float64

In [24]: *#我們不能直接拿「現在的財務數據」套到 2018 年，否則會產生 look-ahead bias。
#所以我們先建立一個基本原則：
#每個 Rebalance Date，只使用當時已經可以取得的歷史年度財務數據。
#我們採用比較保守的做法：財報期末至少距離 Rebalance Date 90 天才允許使用。*

```
In [25]: # =====
# 5.8 Fundamental Data
# =====

def get_fundamental_data(ticker):
    """
    Download annual fundamental data for one security.
    """

    try:
        stock = yf.Ticker(ticker)
```

```

income_stmt = stock.get_income_stmt(freq="yearly")
balance_sheet = stock.get_balance_sheet(freq="yearly")
cash_flow = stock.get_cash_flow(freq="yearly")

return {
    "income_stmt": income_stmt,
    "balance_sheet": balance_sheet,
    "cash_flow": cash_flow
}

except Exception as e:
    print(f"Failed to download fundamentals for {ticker}: {e}")

return {
    "income_stmt": pd.DataFrame(),
    "balance_sheet": pd.DataFrame(),
    "cash_flow": pd.DataFrame()
}

```

```

In [26]: #測試用
fundamental_test = get_fundamental_data("AAPL")

print("Income Statement:")
print(fundamental_test["income_stmt"].head())

print("\nBalance Sheet:")
print(fundamental_test["balance_sheet"].head())

print("\nCash Flow:")
print(fundamental_test["cash_flow"].head())

```

Income Statement:

	2025-09-30 \
TaxEffectOfUnusualItems	0.000000e+00
TaxRateForCalcs	1.560000e-01
NormalizedEBITDA	1.447480e+11
NetIncomeFromContinuingOperationNetMinorityInte...	1.120100e+11
ReconciledDepreciation	1.169800e+10

	2024-09-30 \
TaxEffectOfUnusualItems	0.000000e+00
TaxRateForCalcs	2.410000e-01
NormalizedEBITDA	1.346610e+11
NetIncomeFromContinuingOperationNetMinorityInte...	9.373600e+10
ReconciledDepreciation	1.144500e+10

	2023-09-30 \
TaxEffectOfUnusualItems	0.000000e+00
TaxRateForCalcs	1.470000e-01
NormalizedEBITDA	1.258200e+11
NetIncomeFromContinuingOperationNetMinorityInte...	9.699500e+10
ReconciledDepreciation	1.151900e+10

	2022-09-30 20
21-09-30	
TaxEffectOfUnusualItems	0.000000e+00

NaN	
TaxRateForCalcs	1.620000e-01
NaN	
NormalizedEBITDA	1.305410e+11
NaN	
NetIncomeFromContinuingOperationNetMinorityInte...	9.980300e+10
NaN	
ReconciledDepreciation	1.110400e+10
NaN	

Balance Sheet:

	2025-09-30	2024-09-30	2023-09-30	20
22-09-30 \				
TreasurySharesNumber	NaN	NaN	0.000000e+00	
NaN				
OrdinarySharesNumber	1.477326e+10	1.511679e+10	1.555006e+10	1.59
4342e+10				
ShareIssued	1.477326e+10	1.511679e+10	1.555006e+10	1.59
4342e+10				
NetDebt	6.272300e+10	7.668600e+10	8.112300e+10	9.64
2300e+10				
TotalDebt	9.865700e+10	1.066290e+11	1.110880e+11	1.32
4800e+11				

	2021-09-30
TreasurySharesNumber	NaN
OrdinarySharesNumber	NaN
ShareIssued	NaN
NetDebt	NaN
TotalDebt	NaN

Cash Flow:

	2025-09-30	2024-09-30	2023-09-30
\			
FreeCashFlow	9.876700e+10	1.088070e+11	9.958400e+10
RepurchaseOfCapitalStock	-9.071100e+10	-9.494900e+10	-7.755000e+10
RepaymentOfDebt	-1.093200e+10	-9.958000e+09	-1.115100e+10
IssuanceOfDebt	4.481000e+09	0.000000e+00	5.228000e+09
IssuanceOfCapitalStock	NaN	NaN	NaN

	2022-09-30	2021-09-30
FreeCashFlow	1.114430e+11	NaN
RepurchaseOfCapitalStock	-8.940200e+10	NaN
RepaymentOfDebt	-9.543000e+09	NaN
IssuanceOfDebt	5.465000e+09	NaN
IssuanceOfCapitalStock	NaN	1.105000e+09

```
In [27]: # =====
# 5.9 Inspect Fundamental Fields
# =====

income_stmt = fundamental_test["income_stmt"]
balance_sheet = fundamental_test["balance_sheet"]
cash_flow = fundamental_test["cash_flow"]

print("=== Income Statement Fields ===")
```

```
print(income_stmt.index.tolist())

print("\n=== Balance Sheet Fields ===")
print(balance_sheet.index.tolist())

print("\n=== Cash Flow Fields ===")
print(cash_flow.index.tolist())
```

=== Income Statement Fields ===

```
['TaxEffectOfUnusualItems', 'TaxRateForCalcs', 'NormalizedEBITDA', 'NetIncomeFromContinuingOperationNetMinorityInterest', 'ReconciledDepreciation', 'ReconciledCostOfRevenue', 'EBITDA', 'EBIT', 'NetInterestIncome', 'InterestExpense', 'InterestIncome', 'NormalizedIncome', 'NetIncomeFromContinuingAndDiscontinuedOperation', 'TotalExpenses', 'TotalOperatingIncomeAsReported', 'DilutedAverageShares', 'BasicAverageShares', 'DilutedEPS', 'BasicEPS', 'DilutedNIAtailtoCommonStockholders', 'NetIncomeCommonStockholders', 'NetIncome', 'NetIncomeIncludingNoncontrollingInterests', 'NetIncomeContinuousOperations', 'TaxProvision', 'PretaxIncome', 'OtherIncomeExpense', 'OtherNonOperatingIncomeExpenses', 'NetNonOperatingInterestIncomeExpense', 'InterestExpenseNonOperating', 'InterestIncomeNonOperating', 'OperatingIncome', 'OperatingExpense', 'ResearchAndDevelopment', 'SellingGeneralAndAdministration', 'GrossProfit', 'CostOfRevenue', 'TotalRevenue', 'OperatingRevenue']
```

=== Balance Sheet Fields ===

```
['TreasurySharesNumber', 'OrdinarySharesNumber', 'ShareIssued', 'NetDebt', 'TotalDebt', 'TangibleBookValue', 'InvestedCapital', 'WorkingCapital', 'NetTangibleAssets', 'CapitalLeaseObligations', 'CommonStockEquity', 'TotalCapitalization', 'TotalEquityGrossMinorityInterest', 'StockholdersEquity', 'GainsLossesNotAffectingRetainedEarnings', 'OtherEquityAdjustments', 'RetainedEarnings', 'CapitalStock', 'CommonStock', 'TotalLiabilitiesNetMinorityInterest', 'TotalNonCurrentLiabilitiesNetMinorityInterest', 'OtherNonCurrentLiabilities', 'TradeandOtherPayablesNonCurrent', 'LongTermDebtAndCapitalLeaseObligation', 'LongTermCapitalLeaseObligation', 'LongTermDebt', 'CurrentLiabilities', 'OtherCurrentLiabilities', 'CurrentDeferredLiabilities', 'CurrentDeferredRevenue', 'CurrentDebtAndCapitalLeaseObligation', 'CurrentCapitalLeaseObligation', 'CurrentDebt', 'OtherCurrentBorrowings', 'CommercialPaper', 'PayablesAndAccruedExpenses', 'CurrentAccruedExpenses', 'Payables', 'TotalTaxPayable', 'IncomeTaxPayable', 'AccountsPayable', 'TotalAssets', 'TotalNonCurrentAssets', 'OtherNonCurrentAssets', 'NonCurrentDeferredAssets', 'NonCurrentDeferredTaxesAssets', 'InvestmentsAndAdvances', 'OtherInvestments', 'InvestmentinFinancialAssets', 'AvailableForSaleSecurities', 'NetPPE', 'AccumulatedDepreciation', 'GrossPPE', 'Leases', 'OtherProperties', 'MachineryFurnitureEquipment', 'LandAndImprovements', 'Properties', 'CurrentAssets', 'OtherCurrentAssets', 'Inventory', 'Receivables', 'OtherReceivables', 'AccountsReceivable', 'CashCashEquivalentsAndShortTermInvestments', 'OtherShortTermInvestments', 'CashAndCashEquivalents', 'CashEquivalents', 'CashFinancial']
```

=== Cash Flow Fields ===

```
['FreeCashFlow', 'RepurchaseOfCapitalStock', 'RepaymentOfDebt', 'IssuanceOfDebt', 'IssuanceOfCapitalStock', 'CapitalExpenditure', 'InterestPaidSupplementalData', 'IncomeTaxPaidSupplementalData', 'EndCashP
```

```
osition', 'BeginningCashPosition', 'ChangesInCash', 'FinancingCashFlow', 'CashFlowFromContinuingFinancingActivities', 'NetOtherFinancingCharges', 'CashDividendsPaid', 'CommonStockDividendPaid', 'NetCommonStockIssuance', 'CommonStockPayments', 'CommonStockIssuance', 'NetIssuancePaymentsOfDebt', 'NetShortTermDebtIssuance', 'NetLongTermDebtIssuance', 'LongTermDebtPayments', 'LongTermDebtIssuance', 'InvestingCashFlow', 'CashFlowFromContinuingInvestingActivities', 'NetOtherInvestingChanges', 'NetInvestmentPurchaseAndSale', 'SaleOfInvestment', 'PurchaseOfInvestment', 'NetBusinessPurchaseAndSale', 'PurchaseOfBusiness', 'NetPPEPurchaseAndSale', 'PurchaseOfPPE', 'OperatingCashFlow', 'CashFlowFromContinuingOperatingActivities', 'ChangeInWorkingCapital', 'ChangeInOtherWorkingCapital', 'ChangeInOtherCurrentLiabilities', 'ChangeInOtherCurrentAssets', 'ChangeInPayablesAndAccruedExpense', 'ChangeInPayable', 'ChangeInAccountPayable', 'ChangeInInventory', 'ChangeInReceivables', 'ChangesInAccountReceivables', 'OtherNonCashItems', 'StockBasedCompensation', 'DeferredTax', 'DeferredIncomeTax', 'DepreciationAmortizationDepletion', 'DepreciationAndAmortization', 'NetIncomeFromContinuingOperations']
```

```
In [28]: print("\n=== Available Fundamental Years ===")
```

```
print("Income Statement:")
print(income_stmt.columns)

print("\nBalance Sheet:")
print(balance_sheet.columns)

print("\nCash Flow:")
print(cash_flow.columns)
```

```
=== Available Fundamental Years ===
```

```
Income Statement:
```

```
DatetimeIndex(['2025-09-30', '2024-09-30', '2023-09-30', '2022-09-30',
               '2021-09-30'],
              dtype='datetime64[s]', freq=None)
```

```
Balance Sheet:
```

```
DatetimeIndex(['2025-09-30', '2024-09-30', '2023-09-30', '2022-09-30',
               '2021-09-30'],
              dtype='datetime64[s]', freq=None)
```

```
Cash Flow:
```

```
DatetimeIndex(['2025-09-30', '2024-09-30', '2023-09-30', '2022-09-30',
               '2021-09-30'],
              dtype='datetime64[s]', freq=None)
```

```
In [29]: #此處我們只能得到2021-2025的財報。
         #我們嘗試尋找了各種資源，遺憾的是，最長也只有五年的財報，所以我們不得不縮短回測年
```

```
In [30]: # =====
         # Research Backtest Configuration
         # =====
```

```

# 5-year backtest window
BACKTEST_START = "2021-01-01"
BACKTEST_END = "2026-01-01"

# Keep the original price data
# No need to redownload or modify previous data

# Generate rebalance dates for the 5-year backtest
research_rebalance_dates = close_prices.resample("ME").last().index

research_rebalance_dates = research_rebalance_dates[
    (research_rebalance_dates >= pd.Timestamp(BACKTEST_START)) &
    (research_rebalance_dates < pd.Timestamp(BACKTEST_END))
]

print("Research backtest period:")
print(BACKTEST_START, "to", BACKTEST_END)

print("\nNumber of rebalance dates:")
print(len(research_rebalance_dates))

print("\nFirst 5:")
print(research_rebalance_dates[:5])

print("\nLast 5:")
print(research_rebalance_dates[-5:])

```

Research backtest period:
2021-01-01 to 2026-01-01

Number of rebalance dates:
60

First 5:
DatetimeIndex(['2021-01-31', '2021-02-28', '2021-03-31', '2021-04-30',
 '2021-05-31'],
 dtype='datetime64[s]', name='Date', freq='ME')

Last 5:
DatetimeIndex(['2025-08-31', '2025-09-30', '2025-10-31', '2025-11-30',
 '2025-12-31'],
 dtype='datetime64[s]', name='Date', freq='ME')

```

In [31]: # =====
# Fundamental Data Availability Test
# =====

print("=" * 60)
print("Checking fundamental data availability...")
print("=" * 60)

# 使用研究期間第一個調倉日的歷史成分股
test_date = research_rebalance_dates[0]

```



```

test_universe = historical_universe[test_date]

print(f"\nTest date: {test_date}")
print(f"Number of stocks: {len(test_universe)}")

fundamental_years = {}

for i, ticker in enumerate(test_universe, 1):
    try:
        stock = yf.Ticker(ticker)

        income_stmt = stock.get_income_stmt(freq="yearly")

        if income_stmt.empty:
            fundamental_years[ticker] = []
            continue

        years = sorted(
            pd.to_datetime(income_stmt.columns).year.tolist()
        )

        fundamental_years[ticker] = years

        print(
            f"{i:3d}/{len(test_universe)} "
            f"{ticker:8s} -> {years}"
        )

    except Exception as e:

        fundamental_years[ticker] = []

        print(
            f"{i:3d}/{len(test_universe)} "
            f"{ticker:8s} -> FAILED"
        )

# =====
# Summary
# =====

print("\n" + "=" * 60)
print("Fundamental Data Summary")
print("=" * 60)

year_counts = {}

for ticker, years in fundamental_years.items():

    for year in years:
        year_counts[year] = year_counts.get(year, 0) + 1

year_counts = dict(sorted(year_counts.items()))

```

```

print("\nNumber of stocks with data for each fiscal year:")

for year, count in year_counts.items():

    print(f"{year}: {count} stocks")

# =====
# Calculate common years
# =====

available_year_sets = [
    set(years)
    for years in fundamental_years.values()
    if len(years) > 0
]

if available_year_sets:

    common_years = set.intersection(*available_year_sets)

    print("\nYears available for ALL successfully downloaded stocks")

    print(sorted(common_years))

else:

    print("\nNo fundamental data was successfully downloaded.")

```

```

=====
Checking fundamental data availability...
=====

```

Test date: 2021-01-31 00:00:00

Number of stocks: 102

```

1/102 AAPL      -> [2021, 2022, 2023, 2024, 2025]
2/102 ADBE      -> [2022, 2023, 2024, 2025]
3/102 ADI       -> [2021, 2022, 2023, 2024, 2025]
4/102 ADP       -> [2022, 2023, 2024, 2025, 2026]
5/102 ADSK      -> [2022, 2023, 2024, 2025, 2026]
6/102 AEP       -> [2021, 2022, 2023, 2024, 2025]
7/102 ALGN      -> [2021, 2022, 2023, 2024, 2025]
9/102 AMAT      -> [2021, 2022, 2023, 2024, 2025]
10/102 AMD       -> [2021, 2022, 2023, 2024, 2025]
11/102 AMGN     -> [2021, 2022, 2023, 2024, 2025]
12/102 AMZN     -> [2022, 2023, 2024, 2025]
14/102 ASML     -> [2021, 2022, 2023, 2024, 2025]
16/102 AVGO     -> [2021, 2022, 2023, 2024, 2025]
17/102 BIDU     -> [2022, 2023, 2024, 2025]
18/102 BIIB     -> [2021, 2022, 2023, 2024, 2025]
19/102 BKNG     -> [2021, 2022, 2023, 2024, 2025]
20/102 CDNS     -> [2022, 2023, 2024, 2025]
21/102 CDW      -> [2021, 2022, 2023, 2024, 2025]
23/102 CHKP     -> [2021, 2022, 2023, 2024, 2025]
24/102 CHTR     -> [2021, 2022, 2023, 2024, 2025]
25/102 CMCSA    -> [2021, 2022, 2023, 2024, 2025]

```

26/102	COST	->	[2022, 2023, 2024, 2025]
27/102	CPRT	->	[2022, 2023, 2024, 2025]
28/102	CSCO	->	[2022, 2023, 2024, 2025, 2026]
29/102	CSX	->	[2021, 2022, 2023, 2024, 2025]
30/102	CTAS	->	[2022, 2023, 2024, 2025, 2026]
31/102	CTSH	->	[2022, 2023, 2024, 2025]
32/102	DLTR	->	[2022, 2023, 2024, 2025, 2026]
33/102	DOCU	->	[2023, 2024, 2025, 2026]
34/102	DXCM	->	[2021, 2022, 2023, 2024, 2025]
35/102	EA	->	[2023, 2024, 2025, 2026]
36/102	EBAY	->	[2022, 2023, 2024, 2025]
37/102	EXC	->	[2021, 2022, 2023, 2024, 2025]
38/102	FAST	->	[2022, 2023, 2024, 2025]
39/102	FISV	->	[2022, 2023, 2024, 2025]
40/102	FOX	->	[2022, 2023, 2024, 2025, 2026]
41/102	FOXA	->	[2022, 2023, 2024, 2025, 2026]
42/102	GILD	->	[2022, 2023, 2024, 2025]
43/102	GOOG	->	[2022, 2023, 2024, 2025]
44/102	GOOGL	->	[2022, 2023, 2024, 2025]
45/102	IDXX	->	[2021, 2022, 2023, 2024, 2025]
46/102	ILMN	->	[2021, 2022, 2023, 2024, 2025]
47/102	INCY	->	[2021, 2022, 2023, 2024, 2025]
48/102	INTC	->	[2022, 2023, 2024, 2025]
49/102	INTU	->	[2022, 2023, 2024, 2025, 2026]
50/102	ISRG	->	[2022, 2023, 2024, 2025]
51/102	JD	->	[2021, 2022, 2023, 2024, 2025]
52/102	KDP	->	[2021, 2022, 2023, 2024, 2025]
53/102	KHC	->	[2021, 2022, 2023, 2024, 2025]
54/102	KLAC	->	[2023, 2024, 2025, 2026]
55/102	LRCX	->	[2023, 2024, 2025, 2026]
56/102	LULU	->	[2022, 2023, 2024, 2025, 2026]
57/102	MAR	->	[2021, 2022, 2023, 2024, 2025]
58/102	MCHP	->	[2023, 2024, 2025, 2026]
59/102	MDLZ	->	[2021, 2022, 2023, 2024, 2025]
60/102	MELI	->	[2021, 2022, 2023, 2024, 2025]
61/102	META	->	[2021, 2022, 2023, 2024, 2025]
62/102	MNST	->	[2021, 2022, 2023, 2024, 2025]
63/102	MRNA	->	[2022, 2023, 2024, 2025]
64/102	MRVL	->	[2022, 2023, 2024, 2025, 2026]
65/102	MSFT	->	[2023, 2024, 2025, 2026]
66/102	MTCH	->	[2021, 2022, 2023, 2024, 2025]
67/102	MU	->	[2022, 2023, 2024, 2025]
69/102	NFLX	->	[2021, 2022, 2023, 2024, 2025]
70/102	NTES	->	[2021, 2022, 2023, 2024, 2025]
71/102	NVDA	->	[2022, 2023, 2024, 2025, 2026]
72/102	NXPI	->	[2021, 2022, 2023, 2024, 2025]
73/102	OKTA	->	[2022, 2023, 2024, 2025, 2026]
74/102	ORLY	->	[2022, 2023, 2024, 2025]
75/102	PAYX	->	[2023, 2024, 2025, 2026]
76/102	PCAR	->	[2021, 2022, 2023, 2024, 2025]
77/102	PDD	->	[2022, 2023, 2024, 2025]
78/102	PEP	->	[2021, 2022, 2023, 2024, 2025]
79/102	PTON	->	[2022, 2023, 2024, 2025, 2026]
80/102	PYPL	->	[2022, 2023, 2024, 2025]
81/102	QCOM	->	[2021, 2022, 2023, 2024, 2025]
82/102	REGN	->	[2021, 2022, 2023, 2024, 2025]

```

83/102 ROST    -> [2023, 2024, 2025, 2026]
84/102 SBUX    -> [2021, 2022, 2023, 2024, 2025]
86/102 SIRI    -> [2021, 2022, 2023, 2024, 2025]
87/102 SNPS    -> [2022, 2023, 2024, 2025]
89/102 SWKS    -> [2021, 2022, 2023, 2024, 2025]
90/102 TCOM    -> [2021, 2022, 2023, 2024, 2025]
91/102 TEAM    -> [2022, 2023, 2024, 2025, 2026]
92/102 TMUS    -> [2021, 2022, 2023, 2024, 2025]
93/102 TSLA    -> [2021, 2022, 2023, 2024, 2025]
94/102 TXN     -> [2021, 2022, 2023, 2024, 2025]
95/102 VRSK    -> [2021, 2022, 2023, 2024, 2025]
96/102 VRSN    -> [2021, 2022, 2023, 2024, 2025]
97/102 VRTX    -> [2021, 2022, 2023, 2024, 2025]
99/102 WDAY    -> [2023, 2024, 2025, 2026]
100/102 XEL    -> [2021, 2022, 2023, 2024, 2025]
102/102 ZM     -> [2022, 2023, 2024, 2025, 2026]

```

```

=====
Fundamental Data Summary
=====

```

Number of stocks with data for each fiscal year:

```

2021: 48 stocks
2022: 84 stocks
2023: 93 stocks
2024: 93 stocks
2025: 93 stocks
2026: 24 stocks

```

Years available for ALL successfully downloaded stocks:
[2023, 2024, 2025]

```

In [32]: # =====
# Check 3Y CAGR Availability
# =====

print("\n" + "=" * 60)
print("Checking 3Y CAGR availability")
print("=" * 60)

growth_availability = {}

for ticker, years in fundamental_years.items():

    years = sorted(years)

    if len(years) < 4:
        growth_availability[ticker] = []
        continue

    available_growth_years = []

    for year in years:

        if (
            year - 3 in years

```

```

        and year >= 2021
    ):
        available_growth_years.append(year)

    growth_availability[ticker] = available_growth_years

# =====
# Summary
# =====

print("\n3Y CAGR available years by stock:")

for ticker, years in growth_availability.items():
    print(f"{ticker:8s} -> {years}")

# =====
# Count stocks available for each growth year
# =====

growth_year_counts = {}

for ticker, years in growth_availability.items():
    for year in years:
        growth_year_counts[year] = (
            growth_year_counts.get(year, 0) + 1
        )

print("\n" + "=" * 60)
print("Number of stocks with 3Y CAGR available")
print("=" * 60)

for year, count in sorted(growth_year_counts.items()):
    print(f"{year}: {count} stocks")

```

```

=====
Checking 3Y CAGR availability
=====

```

3Y CAGR available years by stock:

```

AAPL    -> [2024, 2025]
ADBE    -> [2025]
ADI     -> [2024, 2025]
ADP     -> [2025, 2026]
ADSK    -> [2025, 2026]
AEP     -> [2024, 2025]
ALGN    -> [2024, 2025]
ALXN    -> []
AMAT    -> [2024, 2025]
AMD     -> [2024, 2025]
AMGN    -> [2024, 2025]

```

AMZN	-> [2025]
ANSS	-> []
ASML	-> [2024, 2025]
ATVI	-> []
AVGO	-> [2024, 2025]
BIDU	-> [2025]
BIIB	-> [2024, 2025]
BKNG	-> [2024, 2025]
CDNS	-> [2025]
CDW	-> [2024, 2025]
CERN	-> []
CHKP	-> [2024, 2025]
CHTR	-> [2024, 2025]
CMCSA	-> [2024, 2025]
COST	-> [2025]
CPRT	-> [2025]
CSCO	-> [2025, 2026]
CSX	-> [2024, 2025]
CTAS	-> [2025, 2026]
CTSH	-> [2025]
DLTR	-> [2025, 2026]
DOCU	-> [2026]
DXCM	-> [2024, 2025]
EA	-> [2026]
EBAY	-> [2025]
EXC	-> [2024, 2025]
FAST	-> [2025]
FISV	-> [2025]
FOX	-> [2025, 2026]
FOXA	-> [2025, 2026]
GILD	-> [2025]
GOOG	-> [2025]
GOOGL	-> [2025]
IDXX	-> [2024, 2025]
ILMN	-> [2024, 2025]
INCY	-> [2024, 2025]
INTC	-> [2025]
INTU	-> [2025, 2026]
ISRG	-> [2025]
JD	-> [2024, 2025]
KDP	-> [2024, 2025]
KHC	-> [2024, 2025]
KLAC	-> [2026]
LRCX	-> [2026]
LULU	-> [2025, 2026]
MAR	-> [2024, 2025]
MCHP	-> [2026]
MDLZ	-> [2024, 2025]
MELI	-> [2024, 2025]
META	-> [2024, 2025]
MNST	-> [2024, 2025]
MRNA	-> [2025]
MRVL	-> [2025, 2026]
MSFT	-> [2026]
MTCH	-> [2024, 2025]
MU	-> [2025]

```

MXIM      -> []
NFLX      -> [2024, 2025]
NTES      -> [2024, 2025]
NVDA      -> [2025, 2026]
NXPI      -> [2024, 2025]
OKTA      -> [2025, 2026]
ORLY      -> [2025]
PAYX      -> [2026]
PCAR      -> [2024, 2025]
PDD       -> [2025]
PEP       -> [2024, 2025]
PTON      -> [2025, 2026]
PYPL      -> [2025]
QCOM      -> [2024, 2025]
REGN      -> [2024, 2025]
ROST      -> [2026]
SBUX      -> [2024, 2025]
SGEN      -> []
SIRI      -> [2024, 2025]
SNPS      -> [2025]
SPLK      -> []
SWKS      -> [2024, 2025]
TCOM      -> [2024, 2025]
TEAM      -> [2025, 2026]
TMUS      -> [2024, 2025]
TSLA      -> [2024, 2025]
TXN       -> [2024, 2025]
VRSK      -> [2024, 2025]
VRSN      -> [2024, 2025]
VRTX      -> [2024, 2025]
WBA       -> []
WDAY      -> [2026]
XEL       -> [2024, 2025]
XLNX      -> []
ZM        -> [2025, 2026]

```

```

=====
Number of stocks with 3Y CAGR available
=====

```

```

2024: 48 stocks
2025: 84 stocks
2026: 24 stocks

```

```

In [33]: # =====
# Research Period Fundamental Coverage Test
# =====

print("\n" + "=" * 60)
print("Testing 3Y Fundamental Coverage Across Research Period")
print("=" * 60)

research_growth_coverage = {}

for date in research_rebalance_dates:

    universe = historical_universe[date]

```

```

available_count = 0

for ticker in universe:

    years = fundamental_years.get(ticker, [])

    # Check whether the stock has a 3-year CAGR
    # available for this fiscal year
    if date.year in growth_availability.get(ticker, []):
        available_count += 1

coverage = available_count / len(universe)

research_growth_coverage[date] = {
    "universe_size": len(universe),
    "growth_available": available_count,
    "coverage": coverage
}

# =====
# Convert to DataFrame
# =====

growth_coverage_df = pd.DataFrame(
    research_growth_coverage
).T

growth_coverage_df.index.name = "rebalance_date"

print("\nCoverage by rebalance date:")
print(growth_coverage_df)

# =====
# Summary Statistics
# =====

print("\n" + "=" * 60)
print("Coverage Summary")
print("=" * 60)

print(
    "\nAverage coverage:",
    f"{growth_coverage_df['coverage'].mean():.2%}"
)

print(
    "Minimum coverage:",
    f"{growth_coverage_df['coverage'].min():.2%}"
)

print(
    "Maximum coverage:",
    f"{growth_coverage_df['coverage'].max():.2%}"
)

```



```

)

# =====
# Find dates with at least 70% coverage
# =====

coverage_threshold = 0.70

qualified_dates = growth_coverage_df[
    growth_coverage_df["coverage"] >= coverage_threshold
]

print("\n" + "=" * 60)
print(
    f"Dates with at least "
    f"{coverage_threshold:.0%} Growth coverage"
)
print("=" * 60)

print(qualified_dates)

# =====
# Earliest qualifying date
# =====

if not qualified_dates.empty:

    earliest_qualified_date = qualified_dates.index.min()

    print(
        "\nEarliest date with at least "
        f"{coverage_threshold:.0%} coverage:"
    )

    print(earliest_qualified_date)

else:

    print(
        "\nNo rebalance date reached the "
        f"{coverage_threshold:.0%} coverage threshold."
    )

```

```

=====
Testing 3Y Fundamental Coverage Across Research Period
=====

```

Coverage by rebalance date:

rebalance_date	universe_size	growth_available	coverage
2021-01-31	102.0	0.0	0.000000
2021-02-28	102.0	0.0	0.000000
2021-03-31	102.0	0.0	0.000000
2021-04-30	102.0	0.0	0.000000

2021-05-31	102.0	0.0	0.000000
2021-06-30	102.0	0.0	0.000000
2021-07-31	102.0	0.0	0.000000
2021-08-31	102.0	0.0	0.000000
2021-09-30	102.0	0.0	0.000000
2021-10-31	102.0	0.0	0.000000
2021-11-30	102.0	0.0	0.000000
2021-12-31	101.0	0.0	0.000000
2022-01-31	101.0	0.0	0.000000
2022-02-28	102.0	0.0	0.000000
2022-03-31	102.0	0.0	0.000000
2022-04-30	102.0	0.0	0.000000
2022-05-31	102.0	0.0	0.000000
2022-06-30	102.0	0.0	0.000000
2022-07-31	102.0	0.0	0.000000
2022-08-31	102.0	0.0	0.000000
2022-09-30	102.0	0.0	0.000000
2022-10-31	102.0	0.0	0.000000
2022-11-30	102.0	0.0	0.000000
2022-12-31	101.0	0.0	0.000000
2023-01-31	101.0	0.0	0.000000
2023-02-28	101.0	0.0	0.000000
2023-03-31	101.0	0.0	0.000000
2023-04-30	101.0	0.0	0.000000
2023-05-31	101.0	0.0	0.000000
2023-06-30	101.0	0.0	0.000000
2023-07-31	101.0	0.0	0.000000
2023-08-31	101.0	0.0	0.000000
2023-09-30	101.0	0.0	0.000000
2023-10-31	101.0	0.0	0.000000
2023-11-30	101.0	0.0	0.000000
2023-12-31	101.0	0.0	0.000000
2024-01-31	101.0	39.0	0.386139
2024-02-29	101.0	39.0	0.386139
2024-03-31	101.0	39.0	0.386139
2024-04-30	101.0	39.0	0.386139
2024-05-31	101.0	39.0	0.386139
2024-06-30	101.0	38.0	0.376238
2024-07-31	101.0	38.0	0.376238
2024-08-31	101.0	38.0	0.376238
2024-09-30	101.0	38.0	0.376238
2024-10-31	101.0	38.0	0.376238
2024-11-30	101.0	38.0	0.376238
2024-12-31	101.0	37.0	0.366337
2025-01-31	101.0	63.0	0.623762
2025-02-28	101.0	63.0	0.623762
2025-03-31	101.0	63.0	0.623762
2025-04-30	101.0	63.0	0.623762
2025-05-31	101.0	63.0	0.623762
2025-06-30	101.0	63.0	0.623762
2025-07-31	101.0	63.0	0.623762
2025-08-31	101.0	63.0	0.623762
2025-09-30	101.0	63.0	0.623762
2025-10-31	102.0	63.0	0.617647
2025-11-30	101.0	63.0	0.623762
2025-12-31	101.0	60.0	0.594059

```
=====
Coverage Summary
=====
```

```
Average coverage: 20.01%
Minimum coverage: 0.00%
Maximum coverage: 62.38%
```

```
=====
Dates with at least 70% Growth coverage
=====
Empty DataFrame
Columns: [universe_size, growth_available, coverage]
Index: []
```

No rebalance date reached the 70% coverage threshold.

```
In [34]: # =====
# Fundamental Data Collection for Entire Research Universe
# =====

print("\n" + "=" * 60)
print("Collecting Fundamental Data for Entire Research Universe")
print("=" * 60)

# Collect all unique tickers appearing in the research period
research_all_tickers = sorted(
    set(
        ticker
        for date in research_rebalance_dates
        for ticker in historical_universe[date]
    )
)

print(f"\nTotal unique tickers in research period: "
      f"{len(research_all_tickers)}")

# Download fundamental data for tickers not tested previously
for i, ticker in enumerate(research_all_tickers, 1):

    # Skip if we already have data
    if ticker in fundamental_years:
        continue

    try:

        stock = yf.Ticker(ticker)

        income_stmt = stock.get_income_stmt(freq="yearly")

        if income_stmt.empty:

            fundamental_years[ticker] = []
```

```

else:

    years = sorted(
        pd.to_datetime(
            income_stmt.columns
        ).year.tolist()
    )

    fundamental_years[ticker] = years

    print(
        f"{i:3d}/{len(research_all_tickers)} "
        f"{ticker:8s} -> "
        f"{fundamental_years[ticker]}"
    )

except Exception as e:

    fundamental_years[ticker] = []

    print(
        f"{i:3d}/{len(research_all_tickers)} "
        f"{ticker:8s} -> FAILED"
    )

# =====
# Recalculate 3Y CAGR Availability
# =====

growth_availability = {}

for ticker, years in fundamental_years.items():

    years = sorted(years)

    available_growth_years = []

    for year in years:

        if (
            year - 3 in years
            and year >= 2021
        ):

            available_growth_years.append(year)

    growth_availability[ticker] = available_growth_years

# =====
# Research-period coverage
# =====

research_growth_coverage = {}

for date in research_rebalance_dates:

```

```

universe = historical_universe[date]

available_count = sum(
    date.year in growth_availability.get(ticker, [])
    for ticker in universe
)

coverage = available_count / len(universe)

research_growth_coverage[date] = {
    "universe_size": len(universe),
    "growth_available": available_count,
    "coverage": coverage
}

growth_coverage_df = pd.DataFrame(
    research_growth_coverage
).T

growth_coverage_df.index.name = "rebalance_date"

# =====
# Print Summary
# =====

print("\n" + "=" * 60)
print("Research Period Growth Coverage")
print("=" * 60)

print(
    growth_coverage_df[
        [
            "universe_size",
            "growth_available",
            "coverage"
        ]
    ]
)

print("\n" + "=" * 60)
print("Coverage Summary by Year")
print("=" * 60)

yearly_coverage = (
    growth_coverage_df
    .assign(year=growth_coverage_df.index.year)
    .groupby("year")
    .agg(
        average_coverage=("coverage", "mean"),
        minimum_coverage=("coverage", "min"),
        maximum_coverage=("coverage", "max"),
        average_growth_available=("growth_available", "mean")
    )

```

```
)
)

print(yearly_coverage)
```

Collecting Fundamental Data for Entire Research Universe

Total unique tickers in research period: 144

2/144	ABNB	->	[2021, 2022, 2023, 2024, 2025]
9/144	ALNY	->	[2022, 2023, 2024, 2025]
16/144	APP	->	[2021, 2022, 2023, 2024, 2025]
17/144	ARM	->	[2022, 2023, 2024, 2025, 2026]
21/144	AXON	->	[2021, 2022, 2023, 2024, 2025]
22/144	AZN	->	[2021, 2022, 2023, 2024, 2025]
26/144	BKR	->	[2021, 2022, 2023, 2024, 2025]
27/144	CCEP	->	[2022, 2023, 2024, 2025]
30/144	CEG	->	[2021, 2022, 2023, 2024, 2025]
37/144	CRWD	->	[2023, 2024, 2025, 2026]
39/144	CSGP	->	[2021, 2022, 2023, 2024, 2025]
43/144	DASH	->	[2021, 2022, 2023, 2024, 2025]
44/144	DDOG	->	[2022, 2023, 2024, 2025]
50/144	ENPH	->	[2021, 2022, 2023, 2024, 2025]
52/144	FANG	->	[2021, 2022, 2023, 2024, 2025]
54/144	FER	->	[2021, 2022, 2023, 2024, 2025]
58/144	FTNT	->	[2021, 2022, 2023, 2024, 2025]
59/144	GEHC	->	[2021, 2022, 2023, 2024, 2025]
60/144	GFS	->	[2021, 2022, 2023, 2024, 2025]
64/144	HON	->	[2021, 2022, 2023, 2024, 2025]
68/144	INSM	->	[2021, 2022, 2023, 2024, 2025]
76/144	LCID	->	[2021, 2022, 2023, 2024, 2025]
77/144	LIN	->	[2021, 2022, 2023, 2024, 2025]
82/144	MDB	->	[2023, 2024, 2025, 2026]
87/144	MPWR	->	[2021, 2022, 2023, 2024, 2025]
91/144	MSTR	->	[2021, 2022, 2023, 2024, 2025]
99/144	ODFL	->	[2022, 2023, 2024, 2025]
101/144	ON	->	[2021, 2022, 2023, 2024, 2025]
103/144	PANW	->	[2022, 2023, 2024, 2025, 2026]
108/144	PLTR	->	[2021, 2022, 2023, 2024, 2025]
113/144	RIVN	->	[2021, 2022, 2023, 2024, 2025]
114/144	ROP	->	[2021, 2022, 2023, 2024, 2025]
118/144	SHOP	->	[2021, 2022, 2023, 2024, 2025]
120/144	SMCI	->	[2023, 2024, 2025, 2026]
122/144	SOLS	->	[2022, 2023, 2024, 2025]
124/144	STX	->	[2022, 2023, 2024, 2025, 2026]
129/144	TRI	->	[2022, 2023, 2024, 2025]
131/144	TTD	->	[2021, 2022, 2023, 2024, 2025]
132/144	TTWO	->	[2022, 2023, 2024, 2025, 2026]
138/144	WBD	->	[2021, 2022, 2023, 2024, 2025]
140/144	WDC	->	[2022, 2023, 2024, 2025, 2026]
144/144	ZS	->	[2022, 2023, 2024, 2025, 2026]

Research Period Growth Coverage

rebalance_date	universe_size	growth_available	coverage
2021-01-31	102.0	0.0	0.000000
2021-02-28	102.0	0.0	0.000000
2021-03-31	102.0	0.0	0.000000
2021-04-30	102.0	0.0	0.000000
2021-05-31	102.0	0.0	0.000000
2021-06-30	102.0	0.0	0.000000
2021-07-31	102.0	0.0	0.000000
2021-08-31	102.0	0.0	0.000000
2021-09-30	102.0	0.0	0.000000
2021-10-31	102.0	0.0	0.000000
2021-11-30	102.0	0.0	0.000000
2021-12-31	101.0	0.0	0.000000
2022-01-31	101.0	0.0	0.000000
2022-02-28	102.0	0.0	0.000000
2022-03-31	102.0	0.0	0.000000
2022-04-30	102.0	0.0	0.000000
2022-05-31	102.0	0.0	0.000000
2022-06-30	102.0	0.0	0.000000
2022-07-31	102.0	0.0	0.000000
2022-08-31	102.0	0.0	0.000000
2022-09-30	102.0	0.0	0.000000
2022-10-31	102.0	0.0	0.000000
2022-11-30	102.0	0.0	0.000000
2022-12-31	101.0	0.0	0.000000
2023-01-31	101.0	0.0	0.000000
2023-02-28	101.0	0.0	0.000000
2023-03-31	101.0	0.0	0.000000
2023-04-30	101.0	0.0	0.000000
2023-05-31	101.0	0.0	0.000000
2023-06-30	101.0	0.0	0.000000
2023-07-31	101.0	0.0	0.000000
2023-08-31	101.0	0.0	0.000000
2023-09-30	101.0	0.0	0.000000
2023-10-31	101.0	0.0	0.000000
2023-11-30	101.0	0.0	0.000000
2023-12-31	101.0	0.0	0.000000
2024-01-31	101.0	54.0	0.534653
2024-02-29	101.0	54.0	0.534653
2024-03-31	101.0	55.0	0.544554
2024-04-30	101.0	55.0	0.544554
2024-05-31	101.0	55.0	0.544554
2024-06-30	101.0	54.0	0.534653
2024-07-31	101.0	54.0	0.534653
2024-08-31	101.0	54.0	0.534653
2024-09-30	101.0	54.0	0.534653
2024-10-31	101.0	54.0	0.534653
2024-11-30	101.0	55.0	0.544554
2024-12-31	101.0	57.0	0.564356
2025-01-31	101.0	90.0	0.891089
2025-02-28	101.0	90.0	0.891089
2025-03-31	101.0	90.0	0.891089
2025-04-30	101.0	90.0	0.891089
2025-05-31	101.0	91.0	0.900990
2025-06-30	101.0	91.0	0.900990

2025-07-31	101.0	92.0	0.910891
2025-08-31	101.0	92.0	0.910891
2025-09-30	101.0	92.0	0.910891
2025-10-31	102.0	93.0	0.911765
2025-11-30	101.0	92.0	0.910891
2025-12-31	101.0	92.0	0.910891

=====
Coverage Summary by Year
=====

	average_coverage	minimum_coverage	maximum_coverage \
year			
2021	0.000000	0.000000	0.000000
2022	0.000000	0.000000	0.000000
2023	0.000000	0.000000	0.000000
2024	0.540429	0.534653	0.564356
2025	0.902713	0.891089	0.911765

	average_growth_available
year	
2021	0.000000
2022	0.000000
2023	0.000000
2024	54.583333
2025	91.250000

```
In [35]: # =====
# Final Research Backtest Configuration
# =====

FINAL_BACKTEST_START = "2025-01-01"
FINAL_BACKTEST_END = "2026-01-01"

final_rebalance_dates = close_prices.resample("ME").last().index

final_rebalance_dates = final_rebalance_dates[
    (final_rebalance_dates >= pd.Timestamp(FINAL_BACKTEST_START)) &
    (final_rebalance_dates < pd.Timestamp(FINAL_BACKTEST_END))
]

print("\n" + "=" * 60)
print("Final Research Backtest Period")
print("=" * 60)

print(f"\nStart: {FINAL_BACKTEST_START}")
print(f"End: {FINAL_BACKTEST_END}")

print(f"\nNumber of rebalance dates: {len(final_rebalance_dates)}")

print("\nRebalance dates:")
print(final_rebalance_dates)
```



```
=====
Final Research Backtest Period
=====
```

Start: 2025-01-01

End: 2026-01-01

Number of rebalance dates: 12

Rebalance dates:

```
DatetimeIndex(['2025-01-31', '2025-02-28', '2025-03-31', '2025-04-30',
               '2025-05-31', '2025-06-30', '2025-07-31', '2025-08-31',
               '2025-09-30', '2025-10-31', '2025-11-30', '2025-12-31'],
              dtype='datetime64[s]', name='Date', freq='ME')
```

```
In [36]: # =====
# Final Research Historical Universe
# =====

final_historical_universe = {}

for date in final_rebalance_dates:

    final_historical_universe[date] = get_nasdaq100_constituents(date)

# =====
# Check Historical Universe
# =====

print("\n" + "=" * 60)
print("Final Research Historical Universe")
print("=" * 60)

for date in final_rebalance_dates:

    universe = final_historical_universe[date]

    print(
        f'{date.strftime('%Y-%m-%d')} -> '
        f'{len(universe)} securities'
    )

# =====
# Unique Stocks in Final Research Period
# =====

final_research_tickers = sorted(
    set(
        ticker
        for universe in final_historical_universe.values()
        for ticker in universe
    )
)
```

```

    )
)

print("\n" + "=" * 60)
print("Final Research Universe Summary")
print("=" * 60)

print(
    f"\nTotal unique securities: "
    f"{len(final_research_tickers)}"
)

print("\nFirst 20 securities:")
print(final_research_tickers[:20])

```

```

=====
Final Research Historical Universe
=====

```

```

2025-01-31 -> 101 securities
2025-02-28 -> 101 securities
2025-03-31 -> 101 securities
2025-04-30 -> 101 securities
2025-05-31 -> 101 securities
2025-06-30 -> 101 securities
2025-07-31 -> 101 securities
2025-08-31 -> 101 securities
2025-09-30 -> 101 securities
2025-10-31 -> 102 securities
2025-11-30 -> 101 securities
2025-12-31 -> 101 securities

```

```

=====
Final Research Universe Summary
=====

```

Total unique securities: 110

First 20 securities:

```

['AAPL', 'ABNB', 'ADBE', 'ADI', 'ADP', 'ADSK', 'AEP', 'ALNY', 'AMAT', 'AMD', 'AMGN', 'AMZN', 'ANSS', 'APP', 'ARM', 'ASML', 'AVGO', 'AXON', 'AZN', 'BIIB']

```

```

In [37]: # =====
# 6. Fundamental Data Cache
# =====

fundamental_cache = {}

print("=" * 60)
print("Downloading Fundamental Data")
print("=" * 60)

for i, ticker in enumerate(final_research_tickers, 1):

    try:
        stock = yf.Ticker(ticker)

```

```

income_stmt = stock.get_income_stmt(freq="yearly")
balance_sheet = stock.get_balance_sheet(freq="yearly")
cash_flow = stock.get_cash_flow(freq="yearly")

fundamental_cache[ticker] = {
    "income_stmt": income_stmt,
    "balance_sheet": balance_sheet,
    "cash_flow": cash_flow
}

print(
    f"{i:3d}/{len(final_research_tickers)} "
    f"{ticker:8s} OK"
)

except Exception as e:

    fundamental_cache[ticker] = {
        "income_stmt": pd.DataFrame(),
        "balance_sheet": pd.DataFrame(),
        "cash_flow": pd.DataFrame()
    }

    print(
        f"{i:3d}/{len(final_research_tickers)} "
        f"{ticker:8s} FAILED: {e}"
    )

```

```

=====
Downloading Fundamental Data
=====

```

```

1/110 AAPL      OK
2/110 ABNB      OK
3/110 ADBE      OK
4/110 ADI       OK
5/110 ADP       OK
6/110 ADSK      OK
7/110 AEP       OK
8/110 ALNY      OK
9/110 AMAT      OK
10/110 AMD       OK
11/110 AMGN     OK
12/110 AMZN     OK
13/110 ANSS     OK
14/110 APP      OK
15/110 ARM      OK
16/110 ASML     OK
17/110 AVGO     OK
18/110 AXON     OK
19/110 AZN      OK
20/110 BIIB     OK
21/110 BKNG     OK
22/110 BKR      OK
23/110 CCEP     OK
24/110 CDNS     OK

```

25/110	CDW	OK
26/110	CEG	OK
27/110	CHTR	OK
28/110	CMCSA	OK
29/110	COST	OK
30/110	CPRT	OK
31/110	CRWD	OK
32/110	CSCO	OK
33/110	CSGP	OK
34/110	CSX	OK
35/110	CTAS	OK
36/110	CTSH	OK
37/110	DASH	OK
38/110	DDOG	OK
39/110	DXCM	OK
40/110	EA	OK
41/110	EXC	OK
42/110	FANG	OK
43/110	FAST	OK
44/110	FER	OK
45/110	FTNT	OK
46/110	GEHC	OK
47/110	GFS	OK
48/110	GILD	OK
49/110	GOOG	OK
50/110	GOOGL	OK
51/110	HON	OK
52/110	IDXX	OK
53/110	INSM	OK
54/110	INTC	OK
55/110	INTU	OK
56/110	ISRG	OK
57/110	KDP	OK
58/110	KHC	OK
59/110	KLAC	OK
60/110	LIN	OK
61/110	LRCX	OK
62/110	LULU	OK
63/110	MAR	OK
64/110	MCHP	OK
65/110	MDB	OK
66/110	MDLZ	OK
67/110	MELI	OK
68/110	META	OK
69/110	MNST	OK
70/110	MPWR	OK
71/110	MRVL	OK
72/110	MSFT	OK
73/110	MSTR	OK
74/110	MU	OK
75/110	NFLX	OK
76/110	NVDA	OK
77/110	NXPI	OK
78/110	ODFL	OK
79/110	ON	OK
80/110	ORLY	OK

81/110	PANW	OK
82/110	PAYX	OK
83/110	PCAR	OK
84/110	PDD	OK
85/110	PEP	OK
86/110	PLTR	OK
87/110	PYPL	OK
88/110	QCOM	OK
89/110	REGN	OK
90/110	ROP	OK
91/110	ROST	OK
92/110	SBUX	OK
93/110	SHOP	OK
94/110	SNPS	OK
95/110	SOLS	OK
96/110	STX	OK
97/110	TEAM	OK
98/110	TMUS	OK
99/110	TRI	OK
100/110	TSLA	OK
101/110	TTD	OK
102/110	TTWO	OK
103/110	TXN	OK
104/110	VRSK	OK
105/110	VRTX	OK
106/110	WBD	OK
107/110	WDAY	OK
108/110	WDC	OK
109/110	XEL	OK
110/110	ZS	OK

```
In [38]: # =====
# 6.1 Cross-sectional Z-score
# =====

def zscore(series):
    """
    Cross-sectional Z-score.
    """

    std = series.std()

    if pd.isna(std) or std == 0:
        return pd.Series(0.0, index=series.index)

    return (series - series.mean()) / std
```

```
In [39]: def get_shares_outstanding(ticker, fiscal_date):

    try:

        stock = yf.Ticker(ticker)

        shares = stock.get_shares_full(
            start=fiscal_date,
            end=fiscal_date + pd.Timedelta(days=5)
```

```

    )

    if shares is None or shares.empty:
        return np.nan

    return shares.iloc[-1].values[0]

except Exception:
    return np.nan

```

In [60]: #6.2 Value Factor

```

def calculate_value(rebalance_date, universe):
    """
    Calculate Value factor.

    Components:
    - FCF Yield
    - Earnings Yield
    - EBITDA / Enterprise Value
    """

    results = {}

    for ticker in universe:

        try:
            data = fundamental_cache.get(ticker)

            if data is None:
                continue

            income = data.get("income_stmt")
            cashflow = data.get("cash_flow")
            balance = data.get("balance_sheet")

            if income is None or cashflow is None or balance is None:
                continue

            # -----
            # Find latest available fiscal year <= rebalance date
            # -----

            valid_dates = [
                d for d in income.columns
                if pd.Timestamp(d) <= pd.Timestamp(rebalance_date)
            ]

            if not valid_dates:
                continue

            fiscal_date = max(valid_dates)

            # -----
            # Financial data
            # -----

```

```

net_income = income.loc[
    "Net Income", fiscal_date
] if "Net Income" in income.index else np.nan

fcf = cashflow.loc[
    "Free Cash Flow", fiscal_date
] if "Free Cash Flow" in cashflow.index else np.nan

ebitda = income.loc[
    "EBITDA", fiscal_date
] if "EBITDA" in income.index else np.nan

# -----
# Market data
# -----

ticker_obj = yf.Ticker(ticker)

info = ticker_obj.info

market_cap = info.get("marketCap", np.nan)
enterprise_value = info.get("enterpriseValue", np.nan)

# -----
# Check financial values
# -----

if pd.isna(net_income) and pd.isna(fcf) and pd.isna(ebi
    continue

# -----
# Calculate valuation ratios
# -----

earnings_yield = np.nan
fcf_yield = np.nan
ebitda_ev = np.nan

if (
    not pd.isna(net_income)
    and not pd.isna(market_cap)
    and market_cap > 0
):
    earnings_yield = net_income / market_cap

if (
    not pd.isna(fcf)
    and not pd.isna(market_cap)
    and market_cap > 0
):
    fcf_yield = fcf / market_cap

if (
    not pd.isna(ebitda)
    and not pd.isna(enterprise_value)
    and enterprise_value > 0

```

```

):
    ebitda_ev = ebitda / enterprise_value

# -----
# At least one valid valuation metric
# -----

metrics = [
    earnings_yield,
    fcf_yield,
    ebitda_ev
]

if all(pd.isna(x) for x in metrics):
    continue

# -----
# Store raw metrics
# -----

results[ticker] = {
    "earnings_yield": earnings_yield,
    "fcf_yield": fcf_yield,
    "ebitda_ev": ebitda_ev
}

except Exception:
    continue

if not results:
    return pd.Series(dtype=float)

df = pd.DataFrame(results).T

# -----
# Z-score each valuation metric
# -----

df["EY_z"] = zscore(df["earnings_yield"])
df["FCFY_z"] = zscore(df["fcf_yield"])
df["EBITDA_EV_z"] = zscore(df["ebitda_ev"])

# -----
# Composite Value score
# -----

df["Value"] = (
    0.30 * df["FCFY_z"] +
    0.30 * df["EY_z"] +
    0.40 * df["EBITDA_EV_z"]
)

return df["Value"].dropna()

```

```

In [41]: # =====
# 6.3 Quality Factor

```



```
# =====  
  
def calculate_quality(date, universe):  
  
    quality_data = pd.DataFrame(index=universe)  
  
    for ticker in universe:  
  
        data = fundamental_cache.get(ticker)  
  
        if data is None:  
            continue  
  
        income = data["income_stmt"]  
        balance = data["balance_sheet"]  
        cashflow = data["cash_flow"]  
  
        if income.empty or balance.empty or cashflow.empty:  
            continue  
  
        try:  
  
            common_dates = (  
                set(income.columns)  
                & set(balance.columns)  
                & set(cashflow.columns)  
            )  
  
            valid_dates = [  
                d for d in common_dates  
                if pd.Timestamp(d) <= date  
            ]  
  
            if not valid_dates:  
                continue  
  
            fiscal_date = max(valid_dates)  
  
            revenue = income.loc[  
                "TotalRevenue", fiscal_date  
            ]  
  
            operating_income = income.loc[  
                "OperatingIncome", fiscal_date  
            ]  
  
            net_income = income.loc[  
                "NetIncome", fiscal_date  
            ]  
  
            ebitda = income.loc[  
                "EBITDA", fiscal_date  
            ]  
  
            fcf = cashflow.loc[  
                "FreeCashFlow", fiscal_date
```

```

]

total_debt = balance.loc[
    "TotalDebt", fiscal_date
]

cash = balance.loc[
    "CashCashEquivalentsAndShortTermInvestments",
    fiscal_date
]

equity = balance.loc[
    "StockholdersEquity",
    fiscal_date
]

if revenue <= 0 or equity <= 0:
    continue

# -----
# Operating Margin
# -----

operating_margin = (
    operating_income / revenue
)

# -----
# FCF Margin
# -----

fcf_margin = fcf / revenue

# -----
# Net Debt / EBITDA
# -----

net_debt = total_debt - cash

if ebitda <= 0:
    continue

net_debt_ebitda = (
    net_debt / ebitda
)

# -----
# Simplified ROIC
# -----

invested_capital = (
    equity + net_debt
)

if invested_capital <= 0:
    continue

```

```

        roic = (
            operating_income
            / invested_capital
        )

        quality_data.loc[
            ticker, "roic"
        ] = roic

        quality_data.loc[
            ticker, "operating_margin"
        ] = operating_margin

        quality_data.loc[
            ticker, "fcf_margin"
        ] = fcf_margin

        quality_data.loc[
            ticker, "net_debt_ebitda"
        ] = net_debt_ebitda

    except Exception:
        continue

quality_data = quality_data.dropna()

if quality_data.empty:
    return quality_data

# -----
# Z-score
# -----

quality_data["roic_z"] = zscore(
    quality_data["roic"]
)

quality_data["operating_margin_z"] = zscore(
    quality_data["operating_margin"]
)

quality_data["fcf_margin_z"] = zscore(
    quality_data["fcf_margin"]
)

quality_data["net_debt_ebitda_z"] = zscore(
    quality_data["net_debt_ebitda"]
)

# -----
# Composite Quality
# -----

quality_data["quality"] = (
    0.35 * quality_data["roic_z"]

```

```

    + 0.25 * quality_data["operating_margin_z"]
    + 0.20 * quality_data["fcf_margin_z"]
    - 0.20 * quality_data["net_debt_ebitda_z"]
)

return quality_data

```

```

In [ ]: # =====
# 6.4 Growth Factor
# =====

#對於負數基期，我們採用NaN以取消無效經濟含義

def calculate_growth(date, universe):

    growth_data = pd.DataFrame(index=universe)

    for ticker in universe:

        data = fundamental_cache.get(ticker)

        if data is None:
            continue

        income = data["income_stmt"]
        cashflow = data["cash_flow"]

        if income.empty or cashflow.empty:
            continue

        try:

            # Convert columns to Timestamp
            available_dates = sorted(
                pd.to_datetime(income.columns)
            )

            valid_dates = [
                d for d in available_dates
                if d <= date
            ]

            if len(valid_dates) < 4:
                continue

            current_date = valid_dates[-1]

            # Find approximately 3 years earlier
            target_date = current_date - pd.DateOffset(years=3)

            historical_dates = [
                d for d in valid_dates
                if d <= target_date
            ]

            if not historical_dates:

```

```
        continue

    old_date = historical_dates[-1]

    # -----
    # Revenue
    # -----

    revenue_now = income.loc[
        "TotalRevenue",
        current_date
    ]

    revenue_old = income.loc[
        "TotalRevenue",
        old_date
    ]

    # -----
    # EPS
    # -----

    eps_now = income.loc[
        "DilutedEPS",
        current_date
    ]

    eps_old = income.loc[
        "DilutedEPS",
        old_date
    ]

    # -----
    # FCF
    # -----

    fcf_dates = sorted(
        pd.to_datetime(cashflow.columns)
    )

    if (
        current_date not in fcf_dates
        or old_date not in fcf_dates
    ):
        continue

    fcf_now = cashflow.loc[
        "FreeCashFlow",
        current_date
    ]

    fcf_old = cashflow.loc[
        "FreeCashFlow",
        old_date
    ]
```

```

# -----
# CAGR
# -----

revenue_cagr = (
    (revenue_now / revenue_old) ** (1 / 3)
    - 1
    if revenue_now > 0 and revenue_old > 0
    else np.nan
)

eps_cagr = (
    (eps_now / eps_old) ** (1 / 3)
    - 1
    if eps_now > 0 and eps_old > 0
    else np.nan
)

fcf_cagr = (
    (fcf_now / fcf_old) ** (1 / 3)
    - 1
    if fcf_now > 0 and fcf_old > 0
    else np.nan
)

growth_data.loc[
    ticker, "revenue_cagr"
] = revenue_cagr

growth_data.loc[
    ticker, "eps_cagr"
] = eps_cagr

growth_data.loc[
    ticker, "fcf_cagr"
] = fcf_cagr

except Exception:
    continue

# Require all three components
growth_data = growth_data.dropna()

if growth_data.empty:
    return growth_data

# -----
# Z-score
# -----

growth_data["revenue_cagr_z"] = zscore(
    growth_data["revenue_cagr"]
)

growth_data["eps_cagr_z"] = zscore(
    growth_data["eps_cagr"]
)

```

```

)

growth_data["fcf_cagr_z"] = zscore(
    growth_data["fcf_cagr"]
)

# -----
# Composite Growth
# -----

growth_data["growth"] = (
    0.4 * growth_data["revenue_cagr_z"]
    + 0.4 * growth_data["eps_cagr_z"]
    + 0.2 * growth_data["fcf_cagr_z"]
)

return growth_data

```

In [67]: **def** calculate_composite_score(rebalance_date, universe):

```

    momentum = calculate_momentum(
        rebalance_date,
        universe
    )

    value = calculate_value(
        rebalance_date,
        universe
    )

    quality = calculate_quality(
        rebalance_date,
        universe
    )

    growth = calculate_growth(
        rebalance_date,
        universe
    )

    low_volatility = calculate_low_volatility(
        rebalance_date,
        universe
    )

    liquidity = calculate_liquidity(
        rebalance_date,
        universe
    )

# -----
# Convert factor outputs to Series
# -----

def extract_score(x, factor_name):

```

```

if isinstance(x, pd.Series):
    return x.rename(factor_name)

if isinstance(x, pd.DataFrame):

    # If factor has a column with the same name
    if factor_name in x.columns:
        return x[factor_name]

    # Otherwise use the first numeric column
    numeric_cols = x.select_dtypes(
        include=[np.number]
    ).columns

    if len(numeric_cols) == 1:
        return x[numeric_cols[0]].rename(
            factor_name
        )

    raise ValueError(
        f"{factor_name}: cannot determine score column. "
        f"Columns = {list(x.columns)}"
    )

    raise TypeError(
        f"{factor_name}: unsupported type {type(x)}"
    )

# -----
# Standardize each factor
# -----

factor_series = {

    "momentum": extract_score(
        momentum,
        "momentum"
    ),

    "value": extract_score(
        value,
        "value"
    ),

    "quality": extract_score(
        quality,
        "quality"
    ),

    "growth": extract_score(
        growth,
        "growth"
    ),

    "low_volatility": extract_score(
        low_volatility,

```



```

        "low_volatility"
    ),

    "liquidity": extract_score(
        liquidity,
        "liquidity"
    )
}

# -----
# Combine factors
# -----

factor_df = pd.concat(
    factor_series.values(),
    axis=1,
    join="inner"
)

print("\nComposite factor coverage:")
print(factor_df.notna().sum())

print(
    "\nStocks with all six factors:",
    len(factor_df.dropna())
)

# -----
# Drop incomplete observations
# -----

factor_df = factor_df.dropna()

if factor_df.empty:
    return pd.DataFrame()

# -----
# Composite score
# -----

factor_df["composite_score"] = (
    FACTOR_WEIGHTS["momentum"]
    * factor_df["momentum"]

    + FACTOR_WEIGHTS["value"]
    * factor_df["value"]

    + FACTOR_WEIGHTS["quality"]
    * factor_df["quality"]

    + FACTOR_WEIGHTS["growth"]
    * factor_df["growth"]

    + FACTOR_WEIGHTS["low_volatility"]
    * factor_df["low_volatility"]

```

```

        + FACTOR_WEIGHTS["liquidity"]
        * factor_df["liquidity"]
    )

    return factor_df.sort_values(
        "composite_score",
        ascending=False
    )

```

```

In [62]: # =====
# Debug: Check every factor separately
# =====

test_date = research_rebalance_dates[-1]
test_universe = historical_universe[test_date]

print("=" * 60)
print("FACTOR DEBUG")
print("=" * 60)

print(f"Test date: {test_date}")
print(f"Universe size: {len(test_universe)}")
print()

momentum_test = calculate_momentum(
    test_date,
    test_universe
)

print(
    f"Momentum:      {len(momentum_test)} stocks"
)

value_test = calculate_value(
    test_date,
    test_universe
)

print(
    f"Value:          {len(value_test)} stocks"
)

quality_test = calculate_quality(
    test_date,
    test_universe
)

print(
    f"Quality:        {len(quality_test)} stocks"
)

growth_test = calculate_growth(
    test_date,
    test_universe
)

```

```

print(
    f"Growth:          {len(growth_test)} stocks"
)

low_vol_test = calculate_low_volatility(
    test_date,
    test_universe
)

print(
    f"Low Volatility:  {len(low_vol_test)} stocks"
)

liquidity_test = calculate_liquidity(
    test_date,
    test_universe
)

print(
    f"Liquidity:      {len(liquidity_test)} stocks"
)

```

```
=====
FACTOR DEBUG
=====
```

```
Test date: 2025-12-31 00:00:00
Universe size: 101
```

```

Momentum:      64 stocks
Value:         100 stocks
Quality:       84 stocks
Growth:        59 stocks
Low Volatility: 64 stocks
Liquidity:     64 stocks

```

```

In [63]: value_debug = calculate_value_debug(
    test_date,
    test_universe
)

print(value_debug.head())

```

```

Value factor debugging:
Valid stocks: 101
Failed stocks: 101

```

```

Failure reasons:
No historical shares      62
No price data            37
Financial value contains NaN  2
Name: count, dtype: int64
Empty DataFrame
Columns: []
Index: [AAPL, ABNB, ADBE, ADI, ADP]

```

```
In [ ]: #測試用0
```

```
In [66]: factors_test = {
    "momentum": calculate_momentum(test_date, test_universe),
    "value": calculate_value(test_date, test_universe),
    "quality": calculate_quality(test_date, test_universe),
    "growth": calculate_growth(test_date, test_universe),
    "low_volatility": calculate_low_volatility(test_date, test_univ
    "liquidity": calculate_liquidity(test_date, test_universe),
}

for name, result in factors_test.items():
    print(
        f"{name:20s}",
        type(result).__name__,
        "length =", len(result)
    )
```

```
momentum          DataFrame length = 64
value             Series length = 100
quality           DataFrame length = 84
growth            DataFrame length = 59
low_volatility     DataFrame length = 64
liquidity          DataFrame length = 64
```

```
In [68]: composite_test = calculate_composite_score(
    test_date,
    test_universe
)

print(composite_test.head(25))

print(
    "\nNumber of stocks:",
    len(composite_test)
)
```

Composite factor coverage:

```
momentum          37
value             37
quality           37
growth            37
low_volatility     37
liquidity          37
dtype: int64
```

Stocks with all six factors: 37

	momentum	value	quality	growth	low_volatility	liqui dity \
G00GL 8414	1.385281	-0.019070	0.256909	0.452529	0.113149	1.71
G00G 6595	1.370270	-0.013782	0.256909	0.452529	0.160933	1.36
META 0782	-0.506232	0.126491	0.466276	1.094742	-0.239238	1.80
AAPL 4262	0.130479	-0.130536	0.635828	-0.506770	0.745826	1.86
AVGO 4921	0.452963	-0.206107	0.541812	0.852405	-1.724034	1.97

MELI 9361	-0.521452	-0.054012	-0.032451	2.465448	-0.615662	-0.10
NFLX 6031	-0.782406	0.423796	0.235698	1.145930	-0.188091	1.13
ASML 0790	0.539440	-0.362548	0.841049	0.365589	-0.391232	0.10
CMCSA 1074	-0.703598	1.900939	-0.305853	0.532270	0.407069	-0.08
MU 9539	3.394927	-0.234322	-0.157915	-0.555013	-2.718859	1.41
GILD 6829	0.308573	0.158016	0.457684	-0.145235	0.614606	-0.26
ADBE 6559	-0.629825	0.423574	0.792104	0.156266	0.325813	0.19
AMD 9003	1.280726	-0.301095	-0.213011	0.907827	-2.379643	1.45
AMGN 3262	0.268083	0.171061	-0.098319	-0.106689	0.484047	-0.17
IDXX 2022	0.635072	-0.072782	0.364358	0.321119	-0.697255	-0.93
VRTX 5299	-0.051622	-0.049022	0.484127	-0.190113	0.370198	-0.52
COST 4769	-0.549198	-0.087383	-0.390467	0.068786	1.092554	0.63
CTSH 3863	0.218797	0.794951	-0.183144	-0.479491	0.618510	-0.89
AMAT 4112	0.790405	-0.138134	0.265381	-0.377283	-0.866035	0.29
REGN 1171	0.651215	0.271014	0.187218	-0.350919	-0.539169	-0.44
CPRT 1735	-1.020676	0.307043	0.571288	0.062612	0.875432	-1.02
PEP 3367	-0.219895	0.199992	-0.433155	-0.480429	0.981965	-0.02
CDNS 3823	-0.528473	-0.175958	0.373460	0.186593	0.051395	-0.68
PYPL 1434	-1.050382	0.921634	-0.028936	0.230327	-0.302321	-0.12
VRSK 9377	-0.888704	0.130653	0.648130	-0.190046	0.326044	-1.07

	composite_score
GOOGL	0.604897
GOOG	0.574674
META	0.374123
AAPL	0.330627
AVGO	0.277407
MELI	0.270922
NFLX	0.268803
ASML	0.246227
CMCSA	0.242658
MU	0.235376
GILD	0.213415
ADBE	0.195773
AMD	0.138898
AMGN	0.093555

IDXX	0.055402
VRTX	0.044125
COST	0.040076
CTSH	0.033865
AMAT	0.014486
REGN	0.013162
CPRT	-0.002157
PEP	-0.051739
CDNS	-0.080751
PYPL	-0.089045
VRSK	-0.125557

Number of stocks: 37

In []: #回歸主線

In []: #找出真正的top25

```
print(
    composite_test[
        ["composite_score"]
    ].sort_values(
        "composite_score",
        ascending=False
    ).head(25)
)
```

	composite_score
GOOGL	0.604897
GOOG	0.574674
META	0.374123
AAPL	0.330627
AVGO	0.277407
MELI	0.270922
NFLX	0.268803
ASML	0.246227
CMCSA	0.242658
MU	0.235376
GILD	0.213415
ADBE	0.195773
AMD	0.138898
AMGN	0.093555
IDXX	0.055402
VRTX	0.044125
COST	0.040076
CTSH	0.033865
AMAT	0.014486
REGN	0.013162
CPRT	-0.002157
PEP	-0.051739
CDNS	-0.080751
PYPL	-0.089045
VRSK	-0.125557

In []: #關於具體細節的展示表格

```
print(composite_test.head(25))
```

	momentum	value	quality	growth	low_volatility	liqui
--	----------	-------	---------	--------	----------------	-------

dity \							
G00GL 8414	1.385281	-0.019070	0.256909	0.452529	0.113149	1.71	
G00G 6595	1.370270	-0.013782	0.256909	0.452529	0.160933	1.36	
META 0782	-0.506232	0.126491	0.466276	1.094742	-0.239238	1.80	
AAPL 4262	0.130479	-0.130536	0.635828	-0.506770	0.745826	1.86	
AVGO 4921	0.452963	-0.206107	0.541812	0.852405	-1.724034	1.97	
MELI 9361	-0.521452	-0.054012	-0.032451	2.465448	-0.615662	-0.10	
NFLX 6031	-0.782406	0.423796	0.235698	1.145930	-0.188091	1.13	
ASML 0790	0.539440	-0.362548	0.841049	0.365589	-0.391232	0.10	
CMCSA 1074	-0.703598	1.900939	-0.305853	0.532270	0.407069	-0.08	
MU 9539	3.394927	-0.234322	-0.157915	-0.555013	-2.718859	1.41	
GILD 6829	0.308573	0.158016	0.457684	-0.145235	0.614606	-0.26	
ADBE 6559	-0.629825	0.423574	0.792104	0.156266	0.325813	0.19	
AMD 9003	1.280726	-0.301095	-0.213011	0.907827	-2.379643	1.45	
AMGN 3262	0.268083	0.171061	-0.098319	-0.106689	0.484047	-0.17	
IDXX 2022	0.635072	-0.072782	0.364358	0.321119	-0.697255	-0.93	
VRTX 5299	-0.051622	-0.049022	0.484127	-0.190113	0.370198	-0.52	
COST 4769	-0.549198	-0.087383	-0.390467	0.068786	1.092554	0.63	
CTSH 3863	0.218797	0.794951	-0.183144	-0.479491	0.618510	-0.89	
AMAT 4112	0.790405	-0.138134	0.265381	-0.377283	-0.866035	0.29	
REGN 1171	0.651215	0.271014	0.187218	-0.350919	-0.539169	-0.44	
CPRT 1735	-1.020676	0.307043	0.571288	0.062612	0.875432	-1.02	
PEP 3367	-0.219895	0.199992	-0.433155	-0.480429	0.981965	-0.02	
CDNS 3823	-0.528473	-0.175958	0.373460	0.186593	0.051395	-0.68	
PYPL 1434	-1.050382	0.921634	-0.028936	0.230327	-0.302321	-0.12	
VRSK 9377	-0.888704	0.130653	0.648130	-0.190046	0.326044	-1.07	

	composite_score
G00GL	0.604897
G00G	0.574674
META	0.374123

AAPL	0.330627
AVGO	0.277407
MELI	0.270922
NFLX	0.268803
ASML	0.246227
CMCSA	0.242658
MU	0.235376
GILD	0.213415
ADBE	0.195773
AMD	0.138898
AMGN	0.093555
IDXX	0.055402
VRTX	0.044125
COST	0.040076
CTSH	0.033865
AMAT	0.014486
REGN	0.013162
CPRT	-0.002157
PEP	-0.051739
CDNS	-0.080751
PYPL	-0.089045
VRSK	-0.125557

```
In [75]: # =====
# Step 1: Select Top 25 stocks
# =====

TOP_N = 25
MAX_WEIGHT = 0.10

top25 = composite_test.head(TOP_N).index.tolist()

print(f"Number of selected stocks: {len(top25)}")
print(top25)
```

Number of selected stocks: 25
 ['GOOGL', 'GOOG', 'META', 'AAPL', 'AVGO', 'MELI', 'NFLX', 'ASML', 'CMCSA', 'MU', 'GILD', 'ADBE', 'AMD', 'AMGN', 'IDXX', 'VRTX', 'COST', 'CTSH', 'AMAT', 'REGN', 'CPRT', 'PEP', 'CDNS', 'PYPL', 'VRSK']

```
In [76]: print(type(price_data))
print(price_data.shape)
print(price_data.head())
```



```

<class 'pandas.DataFrame'>
(2262, 526)
Price      Adj Close      ...
Volume \
Ticker      ALXN ANSS ATVI CERN CTXS  EA MXIM SGEN SPLK WBA  ...
ULTA
Date
2017-01-03      NaN NaN NaN NaN NaN NaN NaN NaN NaN NaN ...
662200
2017-01-04      NaN NaN NaN NaN NaN NaN NaN NaN NaN NaN ...
678300
2017-01-05      NaN NaN NaN NaN NaN NaN NaN NaN NaN NaN ...
1279500
2017-01-06      NaN NaN NaN NaN NaN NaN NaN NaN NaN NaN ...
710400
2017-01-09      NaN NaN NaN NaN NaN NaN NaN NaN NaN NaN ...
433500

Price
\
Ticker      VRSK      VRSN      VRTX WBA      WDAY      WDC      WTW
XEL
Date
2017-01-03  545700  783800  1761900 NaN  1536500  5925717  789800  2
065100
2017-01-04  651800  743700  1667700 NaN  2543500  4833184  477200  2
542600
2017-01-05  394700  596200  2354700 NaN  2756200  4813471  583600  2
611900
2017-01-06  515900  751900  1669800 NaN  1967400  4331899  812200  1
707400
2017-01-09  489600  881700  4522500 NaN  2341800  5172401  467800  1
840100

Price
Ticker      XLNX
Date
2017-01-03  NaN
2017-01-04  NaN
2017-01-05  NaN
2017-01-06  NaN
2017-01-09  NaN

```

[5 rows x 526 columns]

```

In [80]: # =====
# Diagnose price_data structure
# =====

print("price_data columns:")
print(price_data.columns.names)

print("\nFirst 10 columns:")
print(price_data.columns[:10])

print("\nColumn levels:")

```

```

for i, level in enumerate(price_data.columns.levels):
    print(f"Level {i}:")
    print(level[:20])

print("\nprice_data['Adj Close'] type:")
print(type(price_data["Adj Close"]))

print("\nAdj Close columns:")
print(price_data["Adj Close"].columns[:30])

```

price_data columns:
['Price', 'Ticker']

First 10 columns:
MultiIndex([('Adj Close', 'ALXN'),
 ('Adj Close', 'ANSS'),
 ('Adj Close', 'ATVI'),
 ('Adj Close', 'CERN'),
 ('Adj Close', 'CTXS'),
 ('Adj Close', 'EA'),
 ('Adj Close', 'MXIM'),
 ('Adj Close', 'SGEN'),
 ('Adj Close', 'SPLK'),
 ('Adj Close', 'WBA')],
 names=['Price', 'Ticker'])

Column levels:

Level 0:

Index(['Adj Close', 'Close', 'High', 'Low', 'Open', 'Volume'], dtype='str', name='Price')

Level 1:

Index(['AAL', 'AAPL', 'ADBE', 'ADI', 'ADP', 'ADSK', 'ALGN', 'ALXN',
 'AMAT',
 'AMD', 'AMGN', 'AMZN', 'ANSS', 'ASML', 'ATVI', 'AVGO', 'BID
U', 'BIIB',
 'BKNG', 'BMRN'],
 dtype='str', name='Ticker')

price_data['Adj Close'] type:
<class 'pandas.DataFrame'>

Adj Close columns:

Index(['ALXN', 'ANSS', 'ATVI', 'CERN', 'CTXS', 'EA', 'MXIM', 'SGEN',
 'SPLK',
 'WBA', 'XLNX'],
 dtype='str', name='Ticker')

```

In [84]: import yfinance as yf
import pandas as pd
import numpy as np

# =====
# Step 2: Get Top 25 price data
# =====

```

```
top25_prices = yf.download(  
    top25,  
    start="2017-01-01",  
    end="2025-12-31",  
    auto_adjust=False,  
    progress=False  
)["Adj Close"]  
  
print("Top 25 price data shape:", top25_prices.shape)  
print(top25_prices.head())
```

Top 25 price data shape: (2261, 25)

Ticker	AAPL	ADBE	AMAT	AMD	AMGN	
ASML \						
Date						
2017-01-03	26.698214	103.480003	28.799873	11.43	112.618141	10
0.592209						
2017-01-04	26.668331	104.139999	29.070375	11.43	114.217010	10
0.109489						
2017-01-05	26.803946	105.910004	28.944145	11.24	114.299194	10
1.311676						
2017-01-06	27.102768	108.300003	28.890045	11.32	117.138344	10
1.202423						
2017-01-09	27.351011	108.570000	29.557293	11.49	118.677483	10
2.450127						

Ticker	AVGO	CDNS	CMCSA	COST	...	
IDXX \						
Date						
2017-01-03	13.790829	25.340000	25.144720	135.349945	...	117.59
9998						
2017-01-04	13.692622	25.570000	25.443325	135.375366	...	115.94
9997						
2017-01-05	13.476873	25.660000	25.545290	138.044571	...	115.95
9999						
2017-01-06	13.655505	25.650000	25.588985	137.976776	...	118.36
0001						
2017-01-09	13.684894	25.719999	25.792912	136.400620	...	119.01
9997						

Ticker	MELI	META	MU	NFLX	PEP	
PYPL \						
Date						
2017-01-03	160.645721	115.842728	21.989344	12.749	77.340744	3
9.806084						
2017-01-04	165.434586	117.656799	21.804068	12.941	77.488541	4
0.547817						
2017-01-05	170.881866	119.619537	21.560280	13.181	77.385086	4
0.607155						
2017-01-06	171.759842	122.335701	21.492025	13.107	77.274208	4
0.992855						
2017-01-09	173.705292	123.812729	21.784565	13.095	76.461273	4
0.943405						

Ticker	REGN	VRSK	VRTX
Date			
2017-01-03	376.150391	77.107643	74.889999
2017-01-04	379.528473	77.714493	77.050003
2017-01-05	377.358978	77.430031	79.059998
2017-01-06	355.326874	78.112724	79.389999
2017-01-09	351.740723	77.496429	82.860001

[5 rows x 25 columns]

```
In [86]: # =====
# Step 2: Prepare return data
# =====
```

```

# top25_prices has already been downloaded from Yahoo Finance

top25_returns = top25_prices.pct_change()

print("Price data shape:", top25_prices.shape)
print("Return data shape:", top25_returns.shape)

print("\nMissing price observations:")
print(top25_prices.isna().sum())

print("\nMissing return observations:")
print(top25_returns.isna().sum())

```

```

Price data shape: (2261, 25)
Return data shape: (2261, 25)

```

Missing price observations:

Ticker

AAPL	0
ADBE	0
AMAT	0
AMD	0
AMGN	0
ASML	0
AVGO	0
CDNS	0
CMCSA	0
COST	0
CPRT	0
CTSH	0
GILD	0
GOOG	0
GOOGL	0
IDXX	0
MELI	0
META	0
MU	0
NFLX	0
PEP	0
PYPL	0
REGN	0
VRSK	0
VRTX	0

dtype: int64

Missing return observations:

Ticker

AAPL	1
ADBE	1
AMAT	1
AMD	1
AMGN	1
ASML	1
AVGO	1
CDNS	1

```

CMCSA    1
COST     1
CPRT     1
CTSH     1
GILD     1
GOOG     1
GOOGL    1
IDXX     1
MELI     1
META     1
MU        1
NFLX     1
PEP      1
PYPL     1
REGN     1
VRSK     1
VRTX     1
dtype: int64

```

```

In [88]: # =====
# Check Top 25 price data
# =====

available = [
    ticker for ticker in top25
    if ticker in top25_prices.columns
]

missing = [
    ticker for ticker in top25
    if ticker not in top25_prices.columns
]

print("Top 25:", len(top25))
print("Available:", len(available))
print("Missing:", len(missing))

print("\nAvailable:")
print(available)

print("\nMissing:")
print(missing)

```

Top 25: 25

Available: 25

Missing: 0

Available:

```

['GOOGL', 'GOOG', 'META', 'AAPL', 'AVGO', 'MELI', 'NFLX', 'ASML', 'C
MCSA', 'MU', 'GILD', 'ADBE', 'AMD', 'AMGN', 'IDXX', 'VRTX', 'COST',
'CTSH', 'AMAT', 'REGN', 'CPRT', 'PEP', 'CDNS', 'PYPL', 'VRSK']

```

Missing:

```

[]

```

```

In [89]: # =====
# Step 3: Clean price data and calculate returns

```

```
# =====

# 1. 查看每只股票的缺失价格数量
missing_counts = top25_prices.isna().sum()

print("Missing price observations:")
print(missing_counts[missing_counts > 0])

# 2. 对孤立的缺失价格进行前向填充
#     这里只处理价格序列中少量的缺失值
top25_prices_clean = top25_prices.ffill()

# 3. 检查填充后是否还有缺失值
print("\nMissing values after forward fill:")
print(top25_prices_clean.isna().sum()[top25_prices_clean.isna().sum() > 0])

# 4. 根据清理后的价格计算日收益率
top25_returns = top25_prices_clean.pct_change()

# 5. 删除第一行 NaN (因为第一天没有前一天价格)
top25_returns = top25_returns.dropna(how="all")

print("\nClean price data shape:", top25_prices_clean.shape)
print("Return data shape:", top25_returns.shape)

# 6. 最后检查收益率数据
print("\nRemaining missing returns:")
print(top25_returns.isna().sum()[top25_returns.isna().sum() > 0])
```

Missing price observations:
Series([], dtype: int64)

Missing values after forward fill:
Series([], dtype: int64)

Clean price data shape: (2261, 25)
Return data shape: (2260, 25)

Remaining missing returns:
Series([], dtype: int64)

```
In [90]: # =====
# Step 4: Calculate covariance matrix
# =====

cov_matrix = top25_returns.cov()

print("Covariance matrix shape:", cov_matrix.shape)

print("\nCovariance matrix:")
print(cov_matrix)
```

Covariance matrix shape: (25, 25)

Covariance matrix:

Ticker	AAPL	ADBE	AMAT	AMD	AMGN	ASML
AVGO \						

Ticker						
AAPL	0.000348	0.000237	0.000283	0.000320	0.000107	0.000256
0.000245						
ADBE	0.000237	0.000476	0.000305	0.000357	0.000106	0.000290
0.000257						
AMAT	0.000283	0.000305	0.000731	0.000549	0.000133	0.000533
0.000452						
AMD	0.000320	0.000357	0.000549	0.001223	0.000117	0.000479
0.000441						
AMGN	0.000107	0.000106	0.000133	0.000117	0.000242	0.000105
0.000097						
ASML	0.000256	0.000290	0.000533	0.000479	0.000105	0.000596
0.000398						
AVGO	0.000245	0.000257	0.000452	0.000441	0.000097	0.000398
0.000630						
CDNS	0.000225	0.000291	0.000368	0.000400	0.000097	0.000339
0.000317						
CMCSA	0.000125	0.000138	0.000160	0.000153	0.000099	0.000133
0.000125						
COST	0.000128	0.000143	0.000150	0.000159	0.000072	0.000135
0.000129						
CPRT	0.000162	0.000191	0.000227	0.000239	0.000082	0.000206
0.000181						
CTSH	0.000163	0.000180	0.000225	0.000215	0.000101	0.000189
0.000182						
GILD	0.000081	0.000090	0.000097	0.000091	0.000120	0.000077
0.000069						
GOOG	0.000215	0.000240	0.000276	0.000312	0.000086	0.000248
0.000230						
GOOGL	0.000215	0.000241	0.000279	0.000314	0.000086	0.000250
0.000232						
IDXX	0.000193	0.000219	0.000257	0.000281	0.000110	0.000243
0.000209						
MELI	0.000263	0.000323	0.000368	0.000460	0.000102	0.000351
0.000288						
META	0.000247	0.000286	0.000318	0.000374	0.000086	0.000301
0.000277						
MU	0.000266	0.000281	0.000585	0.000556	0.000125	0.000476
0.000465						
NFLX	0.000218	0.000284	0.000271	0.000369	0.000091	0.000274
0.000239						
PEP	0.000093	0.000093	0.000094	0.000072	0.000090	0.000073
0.000070						
PYPL	0.000243	0.000304	0.000327	0.000352	0.000106	0.000307
0.000261						
REGN	0.000116	0.000133	0.000153	0.000161	0.000135	0.000129
0.000113						
VRSK	0.000128	0.000153	0.000140	0.000140	0.000089	0.000130
0.000114						
VRTX	0.000135	0.000153	0.000169	0.000187	0.000139	0.000154
0.000134						

Ticker	CDNS	CMCSA	COST	...	IDXX	MELI	M
ETA \							
Ticker				...			
AAPL	0.000225	0.000125	0.000128	...	0.000193	0.000263	0.000

247							
ADBE	0.000291	0.000138	0.000143	...	0.000219	0.000323	0.000
286							
AMAT	0.000368	0.000160	0.000150	...	0.000257	0.000368	0.000
318							
AMD	0.000400	0.000153	0.000159	...	0.000281	0.000460	0.000
374							
AMGN	0.000097	0.000099	0.000072	...	0.000110	0.000102	0.000
086							
ASML	0.000339	0.000133	0.000135	...	0.000243	0.000351	0.000
301							
AVGO	0.000317	0.000125	0.000129	...	0.000209	0.000288	0.000
277							
CDNS	0.000460	0.000115	0.000136	...	0.000239	0.000317	0.000
264							
CMCSA	0.000115	0.000281	0.000081	...	0.000104	0.000160	0.000
137							
COST	0.000136	0.000081	0.000198	...	0.000118	0.000152	0.000
126							
CPRT	0.000199	0.000115	0.000106	...	0.000165	0.000230	0.000
178							
CTSH	0.000173	0.000137	0.000095	...	0.000152	0.000192	0.000
175							
GILD	0.000062	0.000080	0.000061	...	0.000085	0.000086	0.000
068							
GOOG	0.000224	0.000118	0.000107	...	0.000186	0.000261	0.000
284							
GOOGL	0.000225	0.000117	0.000107	...	0.000187	0.000260	0.000
285							
IDXX	0.000239	0.000104	0.000118	...	0.000445	0.000273	0.000
216							
MELI	0.000317	0.000160	0.000152	...	0.000273	0.000985	0.000
328							
META	0.000264	0.000137	0.000126	...	0.000216	0.000328	0.000
619							
MU	0.000335	0.000151	0.000130	...	0.000246	0.000338	0.000
320							
NFLX	0.000241	0.000124	0.000127	...	0.000195	0.000357	0.000
310							
PEP	0.000080	0.000087	0.000079	...	0.000083	0.000076	0.000
066							
PYPL	0.000271	0.000152	0.000122	...	0.000239	0.000374	0.000
320							
REGN	0.000116	0.000081	0.000067	...	0.000123	0.000145	0.000
124							
VRSK	0.000141	0.000097	0.000099	...	0.000138	0.000164	0.000
122							
VRTX	0.000147	0.000098	0.000081	...	0.000144	0.000168	0.000
150							
Ticker	MU	NFLX	PEP	PYPL	REGN	VRSK	
VRTX							
Ticker							
AAPL	0.000266	0.000218	0.000093	0.000243	0.000116	0.000128	
0.000135							
ADBE	0.000281	0.000284	0.000093	0.000304	0.000133	0.000153	

```

0.000153
AMAT    0.000585  0.000271  0.000094  0.000327  0.000153  0.000140
0.000169
AMD     0.000556  0.000369  0.000072  0.000352  0.000161  0.000140
0.000187
AMGN    0.000125  0.000091  0.000090  0.000106  0.000135  0.000089
0.000139
ASML    0.000476  0.000274  0.000073  0.000307  0.000129  0.000130
0.000154
AVGO    0.000465  0.000239  0.000070  0.000261  0.000113  0.000114
0.000134
CDNS    0.000335  0.000241  0.000080  0.000271  0.000116  0.000141
0.000147
CMCSA   0.000151  0.000124  0.000087  0.000152  0.000081  0.000097
0.000098
COST    0.000130  0.000127  0.000079  0.000122  0.000067  0.000099
0.000081
CPRT    0.000216  0.000158  0.000084  0.000209  0.000084  0.000138
0.000100
CTSH    0.000216  0.000147  0.000091  0.000195  0.000088  0.000117
0.000109
GILD    0.000099  0.000079  0.000072  0.000092  0.000130  0.000076
0.000128
GOOG    0.000269  0.000221  0.000068  0.000232  0.000103  0.000112
0.000129
GOOGL   0.000270  0.000219  0.000068  0.000233  0.000105  0.000112
0.000129
IDXX    0.000246  0.000195  0.000083  0.000239  0.000123  0.000138
0.000144
MELI    0.000338  0.000357  0.000076  0.000374  0.000145  0.000164
0.000168
META    0.000320  0.000310  0.000066  0.000320  0.000124  0.000122
0.000150
MU       0.000912  0.000269  0.000070  0.000303  0.000143  0.000114
0.000171
NFLX    0.000269  0.000689  0.000053  0.000294  0.000111  0.000118
0.000136
PEP     0.000070  0.000053  0.000157  0.000091  0.000073  0.000100
0.000082
PYPL    0.000303  0.000294  0.000091  0.000607  0.000126  0.000156
0.000137
REGN    0.000143  0.000111  0.000073  0.000126  0.000404  0.000088
0.000183
VRSK    0.000114  0.000118  0.000100  0.000156  0.000088  0.000222
0.000102
VRTX    0.000171  0.000136  0.000082  0.000137  0.000183  0.000102
0.000420

```

[25 rows x 25 columns]

```

In [91]: # =====
# Step 5: Minimum Variance Portfolio
# =====

import numpy as np
from scipy.optimize import minimize

```

```

# Number of stocks
n_assets = len(top25)

# Initial weights: equal-weighted
initial_weights = np.ones(n_assets) / n_assets

# Portfolio variance
def portfolio_variance(weights):
    return weights.T @ cov_matrix.values @ weights

# Objective function
def objective(weights):
    return portfolio_variance(weights)

# Constraint: weights must sum to 1
constraints = {
    "type": "eq",
    "fun": lambda weights: np.sum(weights) - 1
}

# Weight bounds: 0% to 10%
bounds = [(0, MAX_WEIGHT) for _ in range(n_assets)]

# Optimization
result = minimize(
    objective,
    initial_weights,
    method="SLSQP",
    bounds=bounds,
    constraints=constraints,
    options={
        "maxiter": 1000,
        "ftol": 1e-12
    }
)

print("Optimization successful:", result.success)
print("Message:", result.message)
print("Minimum portfolio variance:", result.fun)

```

Optimization successful: True
 Message: Optimization terminated successfully
 Minimum portfolio variance: 0.00011421604402524828

```

In [92]: # =====
# Step 6: Inspect optimal weights
# =====

optimal_weights = pd.Series(
    result.x,
    index=top25,
    name="Weight"
).sort_values(ascending=False)

print("Optimal portfolio weights:")

```

```

print(optimal_weights)

print("\nWeight sum:", optimal_weights.sum())
print("Maximum weight:", optimal_weights.max())
print("Minimum weight:", optimal_weights.min())
print(
    "Number of non-zero positions:",
    (optimal_weights > 1e-8).sum()
)

```

Optimal portfolio weights:

```

AMD      1.000000e-01
MU       1.000000e-01
PYPL     1.000000e-01
AVGO     1.000000e-01
CPRT     1.000000e-01
GILD     1.000000e-01
CMCSA    1.000000e-01
CDNS     9.393742e-02
ADBE     7.562856e-02
VRSK     4.112583e-02
AMGN     3.960184e-02
IDXX     3.274087e-02
REGN     1.170639e-02
VRTX     5.259090e-03
GOOGL    5.969771e-18
COST     1.388193e-18
ASML     9.206306e-19
AAPL     7.393430e-19
META     5.860326e-19
AMAT     2.811007e-19
NFLX     0.000000e+00
GOOG     0.000000e+00
CTSH     0.000000e+00
MELI     0.000000e+00
PEP      0.000000e+00
Name: Weight, dtype: float64

```

Weight sum: 1.0

Maximum weight: 0.1

Minimum weight: 0.0

Number of non-zero positions: 14

```

In [93]: # =====
# Step 7: Portfolio Risk
# =====

# Portfolio daily variance
portfolio_daily_variance = (
    optimal_weights.values.T
    @ cov_matrix.values
    @ optimal_weights.values
)

# Portfolio daily volatility
portfolio_daily_volatility = np.sqrt(portfolio_daily_variance)

```

```
# Annualized volatility
portfolio_annual_volatility = portfolio_daily_volatility * np.sqrt(

print("Portfolio daily variance:", portfolio_daily_variance)
print("Portfolio daily volatility:", portfolio_daily_volatility)
print("Portfolio annualized volatility:", portfolio_annual_volatility)
print("Portfolio annualized volatility (%):",
      portfolio_annual_volatility * 100)
```

Portfolio daily variance: 0.0002611694771158101
 Portfolio daily volatility: 0.016160738755261472
 Portfolio annualized volatility: 0.2565437744970323
 Portfolio annualized volatility (%): 25.65437744970323

In [94]: #對照組 (等權重)

```
# =====
# Step 8: Equal-Weight Portfolio
# =====

# Equal weight for all 25 stocks
equal_weights = np.ones(n_assets) / n_assets

# Equal-weight portfolio variance
equal_daily_variance = (
    equal_weights.T
    @ cov_matrix.values
    @ equal_weights
)

# Equal-weight daily volatility
equal_daily_volatility = np.sqrt(equal_daily_variance)

# Equal-weight annualized volatility
equal_annual_volatility = equal_daily_volatility * np.sqrt(252)

print("Equal-weight daily variance:", equal_daily_variance)
print("Equal-weight daily volatility:", equal_daily_volatility)
print("Equal-weight annualized volatility:", equal_annual_volatility)
print(
    "Equal-weight annualized volatility (%):",
    equal_annual_volatility * 100
)
```

Equal-weight daily variance: 0.00019726354252238166
 Equal-weight daily volatility: 0.014045054023476793
 Equal-weight annualized volatility: 0.2229583205795204
 Equal-weight annualized volatility (%): 22.29583205795204

In [95]: # =====
 # Step 9: Compare Portfolio Risk
 # =====
 print("Portfolio Risk Comparison")
 print("-" * 40)

```

print(
    f"Equal-weight annual volatility: "
    f"{equal_annual_volatility * 100:.2f}%"
)

print(
    f"Minimum Variance annual volatility: "
    f"{portfolio_annual_volatility * 100:.2f}%"
)

risk_reduction = (
    1 - portfolio_annual_volatility / equal_annual_volatility
)

print(
    f"Risk reduction: "
    f"{risk_reduction * 100:.2f}%"
)

```

Portfolio Risk Comparison

```

-----
Equal-weight annual volatility: 22.30%
Minimum Variance annual volatility: 25.65%
Risk reduction: -15.06%

```

In []: #此處我們發現組合的風險比等權重還要高？

```

In [96]: # =====
# Step 10: Validate optimization result
# =====

# Variance of the optimized portfolio
optimized_variance = (
    optimal_weights.values.T
    @ cov_matrix.values
    @ optimal_weights.values
)

# Variance of the equal-weight portfolio
equal_variance = (
    equal_weights.T
    @ cov_matrix.values
    @ equal_weights
)

print("Optimized portfolio variance:", optimized_variance)
print("Equal-weight portfolio variance:", equal_variance)

print("\nVariance comparison:")
print(
    "Optimized <= Equal-weight:",
    optimized_variance <= equal_variance
)

print("\nDifference:")
print(optimized_variance - equal_variance)

```

Optimized portfolio variance: 0.0002611694771158101
 Equal-weight portfolio variance: 0.00019726354252238166

Variance comparison:
 Optimized <= Equal-weight: False

Difference:
 6.390593459342842e-05

```
In [97]: # =====
# Step 11: Check optimizer diagnostics
# =====

print("Optimization success:", result.success)
print("Optimization message:", result.message)
print("Optimizer objective value:", result.fun)

print("\nConstraint check:")
print("Weight sum:", np.sum(result.x))
print("Weight sum error:", np.sum(result.x) - 1)

print("\nWeight bounds:")
print("Minimum weight:", np.min(result.x))
print("Maximum weight:", np.max(result.x))

print("\nGradient / convergence information:")
print(result)
```

Optimization success: True
 Optimization message: Optimization terminated successfully
 Optimizer objective value: 0.00011421604402524828

Constraint check:
 Weight sum: 1.0
 Weight sum error: 0.0

Weight bounds:
 Minimum weight: 0.0
 Maximum weight: 0.1

Gradient / convergence information:
 message: Optimization terminated successfully
 success: True
 status: 0
 fun: 0.00011421604402524828
 x: [5.970e-18 0.000e+00 ... 1.000e-01 4.113e-02]
 nit: 67
 jac: [2.608e-04 2.912e-04 ... 2.272e-04 2.550e-04]
 nfev: 1742
 njev: 67
 multipliers: [2.547e-04]

```
In [98]: # =====
# Step 12: Test equal-weight as starting point
# =====

equal_start = np.ones(n_assets) / n_assets
```

```

result_test = minimize(
    portfolio_variance,
    equal_start,
    method="SLSQP",
    bounds=bounds,
    constraints=constraints,
    options={
        "maxiter": 5000,
        "ftol": 1e-14,
        "disp": True
    }
)

print("\nTest optimization:")
print("Success:", result_test.success)
print("Message:", result_test.message)
print("Variance:", result_test.fun)
print("Weight sum:", result_test.x.sum())
print("Maximum weight:", result_test.x.max())

```

```

Optimization terminated successfully    (Exit mode 0)
      Current function value: 0.00011419128231080787
      Iterations: 93
      Function evaluations: 2418
      Gradient evaluations: 93

```

```

Test optimization:
Success: True
Message: Optimization terminated successfully
Variance: 0.00011419128231080787
Weight sum: 1.0
Maximum weight: 0.1

```

```

In [101... optimal_weights = pd.Series(
    result_test.x,
    index=cov_matrix.index,
    name="Weight"
).sort_values(ascending=False)

print("Final Minimum Variance Portfolio:")
print(optimal_weights)

print("\nWeight sum:", optimal_weights.sum())
print("Maximum weight:", optimal_weights.max())
print("Minimum weight:", optimal_weights.min())
print("Number of non-zero positions:", (optimal_weights > 1e-8).sum

```


Final Minimum Variance Portfolio:

Ticker

GILD	1.000000e-01
CPRT	1.000000e-01
VRSK	1.000000e-01
AMGN	1.000000e-01
PEP	1.000000e-01
CMCSA	1.000000e-01
COST	1.000000e-01
REGN	9.391941e-02
CTSH	7.572978e-02
GOOG	7.323144e-02
VRTX	4.054058e-02
NFLX	1.186436e-02
IDXX	4.714435e-03
GOOGL	1.821991e-17
AMD	1.528373e-18
AAPL	1.416564e-18
AMAT	8.710751e-19
CDNS	0.000000e+00
ADBE	0.000000e+00
AVGO	0.000000e+00
MELI	0.000000e+00
META	0.000000e+00
MU	0.000000e+00
ASML	0.000000e+00
PYPL	0.000000e+00

Name: Weight, dtype: float64

Weight sum: 1.0

Maximum weight: 0.1

Minimum weight: 0.0

Number of non-zero positions: 13

```
In [102... weights_aligned = optimal_weights.reindex(cov_matrix.index)

final_variance = (
    weights_aligned.values.T
    @ cov_matrix.values
    @ weights_aligned.values
)

final_daily_volatility = np.sqrt(final_variance)
final_annual_volatility = final_daily_volatility * np.sqrt(252)

print("Final portfolio variance:", final_variance)
print("Final daily volatility:", final_daily_volatility)
print("Final annualized volatility:", final_annual_volatility)
print("Final annualized volatility (%):", final_annual_volatility *

print("\nOptimizer variance:", result_test.fun)
print("Difference:", final_variance - result_test.fun)
```

Final portfolio variance: 0.00011419128231080787
 Final daily volatility: 0.010686032112566754
 Final annualized volatility: 0.16963550083141085
 Final annualized volatility (%): 16.963550083141087

Optimizer variance: 0.00011419128231080787
 Difference: 0.0

In []: *#這一次對了，前一次發生的問題在於誤用了舊版權重數據，調整後已正常*

In [103... *# Step 15: Final Portfolio Weights*

```
final_weights = optimal_weights[optimal_weights > 1e-8].copy()

print("Final Portfolio Weights:")
print(final_weights)

print("\nNumber of positions:", len(final_weights))
print("Weight sum:", final_weights.sum())
print("Maximum weight:", final_weights.max())
print("Minimum non-zero weight:", final_weights.min())
```

Final Portfolio Weights:

Ticker

GILD	0.100000
CPRT	0.100000
VRSK	0.100000
AMGN	0.100000
PEP	0.100000
CMCSA	0.100000
COST	0.100000
REGN	0.093919
CTSH	0.075730
GOOG	0.073231
VRTX	0.040541
NFLX	0.011864
IDXX	0.004714

Name: Weight, dtype: float64

Number of positions: 13

Weight sum: 0.9999999999999999

Maximum weight: 0.1

Minimum non-zero weight: 0.004714434979498756

In [104... *#此步驟只是為了查看哪些股票真正受到了最大權重的限制*

Step 16: Weight Constraint Diagnostics

```
max_weight = MAX_WEIGHT
```

```
at_max_weight = final_weights[
    final_weights >= max_weight - 1e-6
]
```

```
below_max_weight = final_weights[
    final_weights < max_weight - 1e-6
]
```

```

]

print("Stocks at maximum weight:")
print(at_max_weight)

print("\nNumber at maximum weight:", len(at_max_weight))

print("\nStocks below maximum weight:")
print(below_max_weight)

print("\nNumber below maximum weight:", len(below_max_weight))

```

Stocks at maximum weight:

Ticker

GILD	0.1
CPRT	0.1
VRSK	0.1
AMGN	0.1
PEP	0.1
CMCSA	0.1
COST	0.1

Name: Weight, dtype: float64

Number at maximum weight: 7

Stocks below maximum weight:

Ticker

REGN	0.093919
CTSH	0.075730
GOOG	0.073231
VRTX	0.040541
NFLX	0.011864
IDXX	0.004714

Name: Weight, dtype: float64

Number below maximum weight: 6

In [105... *# Step 17: Minimum Variance vs Equal Weight*

```

equal_weights = pd.Series(
    1 / len(top25),
    index=top25,
    name="Equal Weight"
)

comparison = pd.DataFrame({
    "Minimum Variance": optimal_weights,
    "Equal Weight": equal_weights
})

comparison["Difference"] = (
    comparison["Minimum Variance"]
    - comparison["Equal Weight"]
)

comparison = comparison.sort_values(

```

```

        "Minimum Variance",
        ascending=False
    )

    print(comparison)

```

	Minimum Variance	Equal Weight	Difference
GILD	1.000000e-01	0.04	0.060000
CPRT	1.000000e-01	0.04	0.060000
VRSK	1.000000e-01	0.04	0.060000
AMGN	1.000000e-01	0.04	0.060000
PEP	1.000000e-01	0.04	0.060000
CMCSA	1.000000e-01	0.04	0.060000
COST	1.000000e-01	0.04	0.060000
REGN	9.391941e-02	0.04	0.053919
CTSH	7.572978e-02	0.04	0.035730
GOOG	7.323144e-02	0.04	0.033231
VRTX	4.054058e-02	0.04	0.000541
NFLX	1.186436e-02	0.04	-0.028136
IDXX	4.714435e-03	0.04	-0.035286
GOOGL	1.821991e-17	0.04	-0.040000
AMD	1.528373e-18	0.04	-0.040000
AAPL	1.416564e-18	0.04	-0.040000
AMAT	8.710751e-19	0.04	-0.040000
CDNS	0.000000e+00	0.04	-0.040000
ADBE	0.000000e+00	0.04	-0.040000
AVGO	0.000000e+00	0.04	-0.040000
MELI	0.000000e+00	0.04	-0.040000
META	0.000000e+00	0.04	-0.040000
MU	0.000000e+00	0.04	-0.040000
ASML	0.000000e+00	0.04	-0.040000
PYPL	0.000000e+00	0.04	-0.040000

In [106... # Step 18: Portfolio Summary

```

print("=" * 50)
print("MINIMUM VARIANCE PORTFOLIO SUMMARY")
print("=" * 50)

print(f"Number of stocks: {len(top25)}")
print(f"Number of non-zero positions: {(optimal_weights > 1e-8).sum}")
print(f"Maximum position weight: {optimal_weights.max():.2%}")
print(f"Minimum non-zero weight: {optimal_weights[optimal_weights > 0].min():.2%}")
print(f"Weight sum: {optimal_weights.sum():.6f}")

print("\nRisk:")
print(f"Daily volatility: {final_daily_volatility:.4%}")
print(f"Annualized volatility: {final_annual_volatility:.4%}")

print("\nEqual-weight benchmark:")
print(f"Equal-weight annualized volatility: {equal_annual_volatility:.4%}")

risk_reduction = (
    1 - final_annual_volatility / equal_annual_volatility
)

```

```
print(f"Volatility reduction: {risk_reduction:.2%}")
```

```
=====
MINIMUM VARIANCE PORTFOLIO SUMMARY
=====
```

```
Number of stocks: 25
Number of non-zero positions: 13
Maximum position weight: 10.00%
Minimum non-zero weight: 0.47%
Weight sum: 1.000000
```

```
Risk:
Daily volatility: 1.0686%
Annualized volatility: 16.9636%
```

```
Equal-weight benchmark:
Equal-weight annualized volatility: 22.2958%
Volatility reduction: 23.92%
```

```
In [ ]: #關於一些權重產生原因的備註
        #儘管有的Composite Score 很高，但它和其他股票高度相關，Minimum Variance的組合
        #一些股票Composite Score 中等，但如果它對整個組合的分散化作用很好，可能得到較好的結果
```

```
In [107]: # Step 21: Expected Returns

annualized_expected_returns = top25_returns.mean() * 252

print("Annualized Expected Returns:")
print(
    annualized_expected_returns
    .sort_values(ascending=False)
)
```

Annualized Expected Returns:

Ticker

AMD	0.480654
AVGO	0.439532
MELI	0.405966
MU	0.403781
CDNS	0.339052
ASML	0.338844
AMAT	0.337617
NFLX	0.311509
AAPL	0.302898
GOOG	0.276573
META	0.273836
GOOGL	0.273505
VRTX	0.253915
IDXX	0.251384
CPRT	0.232502
COST	0.231556
ADBE	0.197159
AMGN	0.147575
VRSK	0.146293
REGN	0.130911
GILD	0.125704
PYPL	0.120400
CTSH	0.096864
PEP	0.085959
CMCSA	0.043763

dtype: float64

```
In [108... # Step 22: Expected Return Diagnostics

print("Expected Return Summary:")
print(annualized_expected_returns.describe())

print("\nHighest expected returns:")
print(
    annualized_expected_returns
    .sort_values(ascending=False)
    .head(10)
)

print("\nLowest expected returns:")
print(
    annualized_expected_returns
    .sort_values()
    .head(10)
)
```

Expected Return Summary:

```
count    25.000000
mean      0.249910
std       0.117797
min       0.043763
25%       0.146293
50%       0.253915
75%       0.337617
max       0.480654
dtype: float64
```

Highest expected returns:

Ticker

```
AMD      0.480654
AVGO     0.439532
MELI     0.405966
MU       0.403781
CDNS     0.339052
ASML     0.338844
AMAT     0.337617
NFLX     0.311509
AAPL     0.302898
GOOG     0.276573
dtype: float64
```

Lowest expected returns:

Ticker

```
CMCSA    0.043763
PEP      0.085959
CTSH     0.096864
PYPL     0.120400
GILD     0.125704
REGN     0.130911
VRSK     0.146293
AMGN     0.147575
ADBE     0.197159
COST     0.231556
dtype: float64
```

```
In [109... # Step 23: Risk-Free Rate

RISK_FREE_RATE = 0.04

print("Risk-free rate:", RISK_FREE_RATE)
```

Risk-free rate: 0.04

```
In [110... # Step 24: Maximum Sharpe Ratio Optimization

from scipy.optimize import minimize
import numpy as np

mu = annualized_expected_returns.reindex(cov_matrix.index).values
cov = cov_matrix.values
rf = RISK_FREE_RATE

n_assets = len(cov_matrix)
```

```

def portfolio_return(weights):
    return weights.T @ mu

def portfolio_volatility(weights):
    variance = weights.T @ cov @ weights
    return np.sqrt(variance)

def negative_sharpe(weights):
    portfolio_ret = portfolio_return(weights)
    portfolio_vol = portfolio_volatility(weights)

    return -(
        (portfolio_ret - rf)
        / portfolio_vol
    )

constraints = {
    "type": "eq",
    "fun": lambda weights: np.sum(weights) - 1
}

bounds = [
    (0, MAX_WEIGHT)
    for _ in range(n_assets)
]

initial_weights = np.ones(n_assets) / n_assets

sharpe_result = minimize(
    negative_sharpe,
    initial_weights,
    method="SLSQP",
    bounds=bounds,
    constraints=constraints,
    options={
        "maxiter": 5000,
        "ftol": 1e-12,
        "disp": True
    }
)

print("\nOptimization success:", sharpe_result.success)
print("Optimization message:", sharpe_result.message)
print("Negative Sharpe:", sharpe_result.fun)

```

```

Optimization terminated successfully    (Exit mode 0)
      Current function value: -18.295242953208078
      Iterations: 17
      Function evaluations: 428
      Gradient evaluations: 16

```

```

Optimization success: True
Optimization message: Optimization terminated successfully
Negative Sharpe: -18.295242953208078

```



```
In [111... # Step 25: Maximum Sharpe Portfolio Weights

sharpe_weights = pd.Series(
    sharpe_result.x,
    index=cov_matrix.index,
    name="Weight"
)

sharpe_weights = sharpe_weights.sort_values(
    ascending=False
)

print("Maximum Sharpe Portfolio:")
print(sharpe_weights)

print("\nWeight sum:", sharpe_weights.sum())
print("Maximum weight:", sharpe_weights.max())
print(
    "Number of non-zero positions:",
    (sharpe_weights > 1e-8).sum()
)
```

Maximum Sharpe Portfolio:

Ticker

GOOG	1.000000e-01
CDNS	1.000000e-01
AAPL	1.000000e-01
AVGO	1.000000e-01
VRTX	1.000000e-01
COST	1.000000e-01
CPRT	8.400063e-02
MELI	8.159749e-02
AMD	7.081232e-02
MU	5.209582e-02
NFLX	5.022307e-02
GILD	3.354530e-02
AMGN	2.772537e-02
PYPL	2.451947e-13
ADBE	1.532604e-13
AMAT	1.288989e-13
CTSH	1.040425e-13
CMCSA	1.019264e-13
ASML	5.995495e-14
META	4.943887e-14
REGN	4.131732e-16
PEP	1.644832e-16
VRSK	6.831572e-18
GOOGL	0.000000e+00
IDXX	0.000000e+00

Name: Weight, dtype: float64

Weight sum: 1.00000000000002331

Maximum weight: 0.099999999999999941

Number of non-zero positions: 13

```
In [112... # Step 26: Maximum Sharpe Portfolio Metrics
```

```
sharpe_weights_aligned = sharpe_weights.reindex(
    cov_matrix.index
)

sharpe_portfolio_return = (
    sharpe_weights_aligned.values.T @ mu
)

sharpe_portfolio_variance = (
    sharpe_weights_aligned.values.T
    @ cov
    @ sharpe_weights_aligned.values
)

sharpe_portfolio_volatility = np.sqrt(
    sharpe_portfolio_variance
)

sharpe_ratio = (
    sharpe_portfolio_return - rf
) / sharpe_portfolio_volatility

print("=" * 50)
print("MAXIMUM SHARPE PORTFOLIO")
print("=" * 50)

print(
    f"Expected annual return: "
    f"{sharpe_portfolio_return:.4%}"
)

print(
    f"Annualized volatility: "
    f"{sharpe_portfolio_volatility:.4%}"
)

print(
    f"Risk-free rate: "
    f"{rf:.2%}"
)

print(
    f"Sharpe ratio: "
    f"{sharpe_ratio:.4f}"
)

print(
    f"Weight sum: "
    f"{sharpe_weights.sum():.6f}"
)

print(
    f"Maximum weight: "
    f"{sharpe_weights.max():.2%}"
)
```

```
print(
    f"Non-zero positions: "
    f"{(sharpe_weights > 1e-8).sum()}"
)
```

```
=====
MAXIMUM SHARPE PORTFOLIO
=====
```

```
Expected annual return: 31.6034%
Annualized volatility: 1.5088%
Risk-free rate: 4.00%
Sharpe ratio: 18.2952
Weight sum: 1.000000
Maximum weight: 10.00%
Non-zero positions: 13
```

```
In [ ]: #此處波動率明顯有問題
```

```
In [114]: # Independent verification of Maximum Sharpe portfolio risk
```

```
sharpe_weights_aligned = (
    sharpe_weights
    .reindex(cov_matrix.index)
    .fillna(0)
)

independent_variance = (
    sharpe_weights_aligned.values.T
    @ cov_matrix.values
    @ sharpe_weights_aligned.values
)

independent_daily_volatility = np.sqrt(
    independent_variance
)

independent_annual_volatility = (
    independent_daily_volatility * np.sqrt(252)
)

print("\nIndependent Maximum Sharpe Risk Check:")
print("Variance:", independent_variance)
print("Daily volatility:", independent_daily_volatility)
print("Annualized volatility:", independent_annual_volatility)
print("Annualized volatility (%):", independent_annual_volatility * 100)

print("\nMinimum Variance annualized volatility:")
print(final_annual_volatility * 100)

print("\nSharpe portfolio >= Minimum Variance:")
print(
    independent_annual_volatility >=
    final_annual_volatility - 1e-10
)
```

Independent Maximum Sharpe Risk Check:
 Variance: 0.0002276393497584533
 Daily volatility: 0.01508772182135041
 Annualized volatility: 0.23951015873889409
 Annualized volatility (%): 23.951015873889407

Minimum Variance annualized volatility:
 16.963550083141087

Sharpe portfolio >= Minimum Variance:
 True

In [115... *# Step 27: Clean Maximum Sharpe Portfolio Calculation*

```
# 1. Expected returns
mu_clean = (
    top25_returns
    .mean()
    .mul(252)
    .reindex(cov_matrix.index)
)

# 2. Covariance matrix
cov_clean = cov_matrix.loc[
    mu_clean.index,
    mu_clean.index
]

# 3. Risk-free rate
rf_clean = RISK_FREE_RATE

# 4. Number of assets
n_assets = len(mu_clean)

# 5. Portfolio functions
def portfolio_return_clean(weights):
    return weights @ mu_clean.values

def portfolio_volatility_clean(weights):
    variance = (
        weights.T
        @ cov_clean.values
        @ weights
    )
    return np.sqrt(variance)

def negative_sharpe_clean(weights):
    ret = portfolio_return_clean(weights)
    vol = portfolio_volatility_clean(weights)

    return -(ret - rf_clean) / vol

# 6. Constraints
```

```

constraints_clean = {
    "type": "eq",
    "fun": lambda weights: np.sum(weights) - 1
}

bounds_clean = [
    (0, MAX_WEIGHT)
    for _ in range(n_assets)
]

# 7. Equal-weight starting point
initial_weights_clean = np.ones(n_assets) / n_assets

# 8. Optimization
sharpe_result_clean = minimize(
    negative_sharpe_clean,
    initial_weights_clean,
    method="SLSQP",
    bounds=bounds_clean,
    constraints=constraints_clean,
    options={
        "maxiter": 5000,
        "ftol": 1e-12,
        "disp": True
    }
)

print("Optimization success:",
      sharpe_result_clean.success)

print("Optimization message:",
      sharpe_result_clean.message)

print("Objective value:",
      sharpe_result_clean.fun)

```

```

Optimization terminated successfully    (Exit mode 0)
      Current function value: -18.295242953208078
      Iterations: 17
      Function evaluations: 428
      Gradient evaluations: 16
Optimization success: True
Optimization message: Optimization terminated successfully
Objective value: -18.295242953208078

```

In [116... *# Step 28: Final Maximum Sharpe Weights*

```

max_sharpe_weights = pd.Series(
    sharpe_result_clean.x,
    index=mu_clean.index,
    name="Weight"
)

max_sharpe_weights = (
    max_sharpe_weights
    .sort_values(ascending=False)

```

```
)

print("=" * 50)
print("MAXIMUM SHARPE PORTFOLIO WEIGHTS")
print("=" * 50)

print(max_sharpe_weights)

print("\nWeight sum:",
      max_sharpe_weights.sum())

print("Maximum weight:",
      max_sharpe_weights.max())

print("Minimum weight:",
      max_sharpe_weights.min())

print(
    "Non-zero positions:",
    (max_sharpe_weights > 1e-8).sum()
)
```

```
=====
MAXIMUM SHARPE PORTFOLIO WEIGHTS
=====
```

Ticker

```
G00G      1.000000e-01
CDNS      1.000000e-01
AAPL      1.000000e-01
AVGO      1.000000e-01
VRTX      1.000000e-01
COST      1.000000e-01
CPRT      8.400063e-02
MELI      8.159749e-02
AMD       7.081232e-02
MU        5.209582e-02
NFLX      5.022307e-02
GILD      3.354530e-02
AMGN      2.772537e-02
PYPL      2.451947e-13
ADBE      1.532604e-13
AMAT      1.288989e-13
CTSH      1.040425e-13
CMCSA     1.019264e-13
ASML      5.995495e-14
META      4.943887e-14
REGN      4.131732e-16
PEP       1.644832e-16
VRSK      6.831572e-18
GOOGL     0.000000e+00
IDXX      0.000000e+00
```

Name: Weight, dtype: float64

Weight sum: 1.00000000000002331

Maximum weight: 0.099999999999999941

Minimum weight: 0.0

Non-zero positions: 13

In [117... *# Step 29: Maximum Sharpe Portfolio Metrics*

```
w = max_sharpe_weights.reindex(
    cov_clean.index
).values

portfolio_expected_return = (
    w @ mu_clean.values
)

portfolio_variance = (
    w.T
    @ cov_clean.values
    @ w
)

portfolio_daily_volatility = np.sqrt(
    portfolio_variance
)
```

```
portfolio_annual_volatility = (  
    portfolio_daily_volatility  
    * np.sqrt(252)  
)  
  
portfolio_sharpe = (  
    portfolio_expected_return - rf_clean  
) / portfolio_annual_volatility  
  
print("=" * 50)  
print("MAXIMUM SHARPE PORTFOLIO")  
print("=" * 50)  
  
print(  
    f"Expected annual return: "  
    f"{portfolio_expected_return:.4%}"  
)  
  
print(  
    f"Annualized volatility: "  
    f"{portfolio_annual_volatility:.4%}"  
)  
  
print(  
    f"Risk-free rate: "  
    f"{rf_clean:.2%}"  
)  
  
print(  
    f"Sharpe ratio: "  
    f"{portfolio_sharpe:.4f}"  
)  
  
print(  
    f"Weight sum: "  
    f"{w.sum():.6f}"  
)  
  
print(  
    f"Maximum weight: "  
    f"{w.max():.2%}"  
)  
  
print(  
    f"Non-zero positions: "  
    f"{(w > 1e-8).sum()}"  
)
```



```
=====
MAXIMUM SHARPE PORTFOLIO
=====
```

```
Expected annual return: 31.6034%
Annualized volatility: 23.9510%
Risk-free rate: 4.00%
Sharpe ratio: 1.1525
Weight sum: 1.000000
Maximum weight: 10.00%
Non-zero positions: 13
```

In [118... *# Step 30: Prepare Backtest Data*

```
BACKTEST_START = "2025-01-01"
BACKTEST_END = "2025-12-31"
BENCHMARK_TICKER = "QQQ"

# -----
# 1. Select backtest period
# -----

backtest_returns = top25_returns.loc[
    BACKTEST_START:BACKTEST_END
].copy()

print("=" * 50)
print("BACKTEST DATA")
print("=" * 50)

print("Start date:", backtest_returns.index.min())
print("End date:", backtest_returns.index.max())
print("Trading days:", len(backtest_returns))
print("Number of stocks:", backtest_returns.shape[1])

# -----
# 2. Download benchmark data
# -----

import yfinance as yf

benchmark_data = yf.download(
    BENCHMARK_TICKER,
    start=BACKTEST_START,
    end="2026-01-01",
    auto_adjust=True,
    progress=False
)

# Handle possible MultiIndex columns
if isinstance(benchmark_data.columns, pd.MultiIndex):
    benchmark_prices = benchmark_data["Close"][BENCHMARK_TICKER]
else:
    benchmark_prices = benchmark_data["Close"]

benchmark_returns = benchmark_prices.pct_change().dropna()
```

```

benchmark_returns = benchmark_returns.loc[
    BACKTEST_START:BACKTEST_END
]

# -----
# 3. Align portfolio and benchmark dates
# -----

common_dates = backtest_returns.index.intersection(
    benchmark_returns.index
)

backtest_returns = backtest_returns.loc[common_dates]
benchmark_returns = benchmark_returns.loc[common_dates]

print("\nBenchmark:", BENCHMARK_TICKER)
print("Benchmark trading days:", len(benchmark_returns))

print("\nAligned backtest period:")
print("Start:", common_dates.min())
print("End:", common_dates.max())
print("Trading days:", len(common_dates))

```

```

=====
BACKTEST DATA
=====

```

```

Start date: 2025-01-02 00:00:00
End date: 2025-12-30 00:00:00
Trading days: 249
Number of stocks: 25

```

```

Benchmark: QQQ
Benchmark trading days: 248

```

```

Aligned backtest period:
Start: 2025-01-03 00:00:00
End: 2025-12-30 00:00:00
Trading days: 248

```

In [119... *# Step 31: Calculate Daily Portfolio Returns*

```

# -----
# 1. Align portfolio weights
# -----

min_var_weights = (
    optimal_weights
    .reindex(backtest_returns.columns)
    .fillna(0)
)

max_sharpe_weights_aligned = (
    max_sharpe_weights

```

```

        .reindex(backtest_returns.columns)
        .fillna(0)
    )

# -----
# 2. Calculate daily portfolio returns
# -----

min_var_returns = (
    backtest_returns
    .mul(min_var_weights, axis=1)
    .sum(axis=1)
)

max_sharpe_returns = (
    backtest_returns
    .mul(max_sharpe_weights_aligned, axis=1)
    .sum(axis=1)
)

# -----
# 3. Check results
# -----

print("=" * 50)
print("PORTFOLIO DAILY RETURNS")
print("=" * 50)

print("\nMinimum Variance:")
print(min_var_returns.head())

print("\nMaximum Sharpe:")
print(max_sharpe_returns.head())

# -----
# 4. Basic checks
# -----

print("\n" + "=" * 50)
print("RETURN SERIES CHECK")
print("=" * 50)

print("Minimum Variance observations:",
      len(min_var_returns))

print("Maximum Sharpe observations:",
      len(max_sharpe_returns))

print("Minimum Variance missing:",
      min_var_returns.isna().sum())

print("Maximum Sharpe missing:",
      max_sharpe_returns.isna().sum())

```

```
print("Weight sum - Minimum Variance:",
      min_var_weights.sum())

print("Weight sum - Maximum Sharpe:",
      max_sharpe_weights_aligned.sum())
```

```
=====
PORTFOLIO DAILY RETURNS
=====
```

Minimum Variance:

Date

```
2025-01-03    0.004836
2025-01-06   -0.004216
2025-01-07    0.000327
2025-01-08    0.005616
2025-01-10   -0.017082
```

dtype: float64

Maximum Sharpe:

Date

```
2025-01-03    0.012606
2025-01-06    0.011245
2025-01-07   -0.007456
2025-01-08   -0.003817
2025-01-10   -0.012783
```

dtype: float64

```
=====
RETURN SERIES CHECK
=====
```

Minimum Variance observations: 248

Maximum Sharpe observations: 248

Minimum Variance missing: 0

Maximum Sharpe missing: 0

Weight sum - Minimum Variance: 1.0

Weight sum - Maximum Sharpe: 1.0000000000002331

In [120... *# Step 32: Calculate Cumulative Returns*

```
# -----
# 1. Calculate cumulative wealth
# -----

min_var_cumulative = (
    1 + min_var_returns
).cumprod()

max_sharpe_cumulative = (
    1 + max_sharpe_returns
).cumprod()

qqq_cumulative = (
    1 + benchmark_returns
).cumprod()
```

```
# -----  
# 2. Combine into one DataFrame  
# -----  
  
cumulative_returns = pd.DataFrame({  
    "Minimum Variance": min_var_cumulative,  
    "Maximum Sharpe": max_sharpe_cumulative,  
    "QQQ": qqq_cumulative  
})  
  
# -----  
# 3. Display summary  
# -----  
  
print("=" * 50)  
print("CUMULATIVE PERFORMANCE")  
print("=" * 50)  
  
print("\nStarting value:")  
print(cumulative_returns.iloc[0])  
  
print("\nEnding value:")  
print(cumulative_returns.iloc[-1])  
  
print("\nTotal return:")  
print(  
    (cumulative_returns.iloc[-1] - 1)  
    .to_frame("Total Return")  
)  
  
# -----  
# 4. Check missing values  
# -----  
  
print("\nMissing values:")  
print(cumulative_returns.isna().sum())
```

```
=====
CUMULATIVE PERFORMANCE
=====
```

Starting value:

```
Minimum Variance    1.004836
Maximum Sharpe      1.012606
QQQ                 1.016365
Name: 2025-01-03 00:00:00, dtype: float64
```

Ending value:

```
Minimum Variance    1.073671
Maximum Sharpe      1.314687
QQQ                 1.220178
Name: 2025-12-30 00:00:00, dtype: float64
```

Total return:

```
                Total Return
Minimum Variance    0.073671
Maximum Sharpe      0.314687
QQQ                 0.220178
```

Missing values:

```
Minimum Variance    0
Maximum Sharpe      0
QQQ                 0
dtype: int64
```

```
In [121... # Step 33: Calculate Backtest Performance Metrics

TRADING_DAYS = 252
RF_BACKTEST = RISK_FREE_RATE

def calculate_performance_metrics(
    returns,
    risk_free_rate=RF_BACKTEST
):
    """
    Calculate standard portfolio performance metrics.
    """

    # Total return
    total_return = (1 + returns).prod() - 1

    # Number of observations
    n_days = len(returns)

    # Annualized return
    annualized_return = (
        (1 + total_return) ** (TRADING_DAYS / n_days)
        - 1
    )

    # Annualized volatility
    annualized_volatility = (
```

```

        returns.std() * np.sqrt(TRADING_DAYS)
    )

    # Sharpe ratio
    sharpe_ratio = (
        annualized_return - risk_free_rate
    ) / annualized_volatility

    # Cumulative wealth
    cumulative = (1 + returns).cumprod()

    # Running maximum
    running_max = cumulative.cummax()

    # Drawdown
    drawdown = (
        cumulative / running_max - 1
    )

    # Maximum drawdown
    max_drawdown = drawdown.min()

    return {
        "Total Return": total_return,
        "Annualized Return": annualized_return,
        "Annualized Volatility": annualized_volatility,
        "Sharpe Ratio": sharpe_ratio,
        "Maximum Drawdown": max_drawdown
    }

# -----
# Calculate metrics
# -----

min_var_metrics = calculate_performance_metrics(
    min_var_returns
)

max_sharpe_metrics = calculate_performance_metrics(
    max_sharpe_returns
)

qqq_metrics = calculate_performance_metrics(
    benchmark_returns
)

# -----
# Combine results
# -----

performance_summary = pd.DataFrame({
    "Minimum Variance": min_var_metrics,
    "Maximum Sharpe": max_sharpe_metrics,
    "QQQ": qqq_metrics
})

```

```

}).T

# -----
# Display
# -----

print("=" * 60)
print("BACKTEST PERFORMANCE SUMMARY")
print("=" * 60)

print(performance_summary.to_string(
    float_format=lambda x: f"{x:.4%}"
))

```

```

=====
BACKTEST PERFORMANCE SUMMARY
=====

```

	Total Return	Annualized Return	Annualized Volati
lity Sharpe Ratio	Maximum Drawdown		
Minimum Variance	7.3671%	7.4903%	15.1
685%	23.0102%	-11.3696%	
Maximum Sharpe	31.4687%	32.0501%	22.7
509%	123.2926%	-18.8207%	
QQQ	22.0178%	22.4101%	23.6
727%	77.7693%	-22.7683%	

In [122... *# Step 34: Format Performance Summary*

```

performance_display = performance_summary.copy()

# Format percentage metrics
percentage_columns = [
    "Total Return",
    "Annualized Return",
    "Annualized Volatility",
    "Maximum Drawdown"
]

for col in percentage_columns:
    performance_display[col] = (
        performance_display[col] * 100
    ).round(2).astype(str) + "%"

# Format Sharpe Ratio as a number
performance_display["Sharpe Ratio"] = (
    performance_summary["Sharpe Ratio"]
    .round(4)
)

print("=" * 60)
print("BACKTEST PERFORMANCE SUMMARY")
print("=" * 60)

```



```
print(performance_display)
```

```
=====
BACKTEST PERFORMANCE SUMMARY
=====
```

	Total Return	Annualized Return	Annualized Volatility
Minimum Variance	7.37%	7.49%	15.1
Maximum Sharpe	31.47%	32.05%	22.7
QQQ	22.02%	22.41%	23.6

	Sharpe Ratio	Maximum Drawdown
Minimum Variance	0.2301	-11.37%
Maximum Sharpe	1.2329	-18.82%
QQQ	0.7777	-22.77%

```
In [123... # Step 35: Plot Cumulative Performance
```

```
import matplotlib.pyplot as plt

# Normalize all portfolios to 1.0 at the start
normalized_cumulative = (
    cumulative_returns
    / cumulative_returns.iloc[0]
)

plt.figure(figsize=(12, 6))

plt.plot(
    normalized_cumulative.index,
    normalized_cumulative["Minimum Variance"],
    label="Minimum Variance"
)

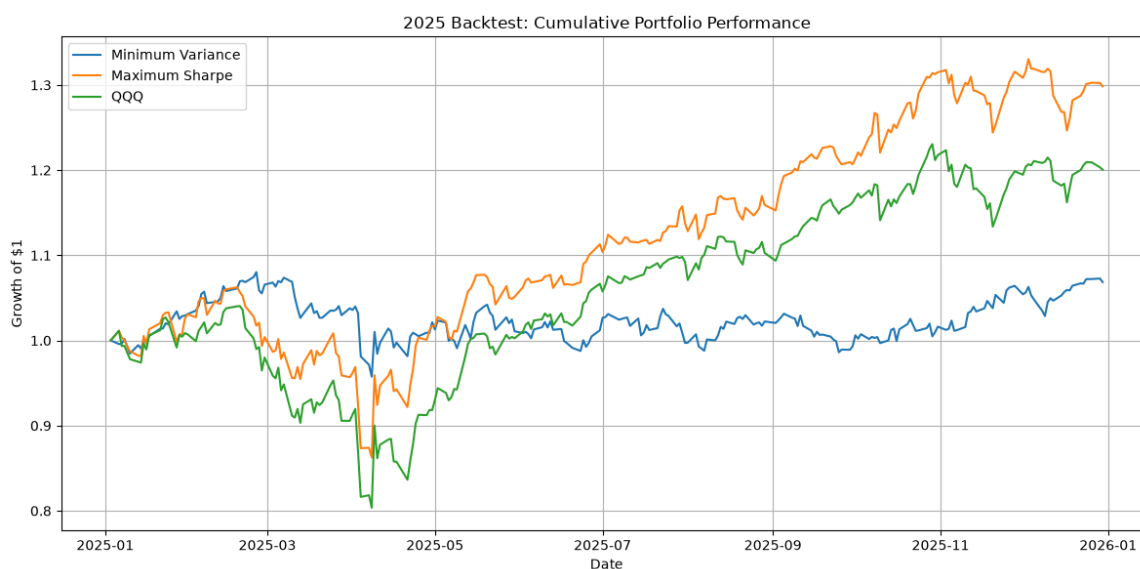
plt.plot(
    normalized_cumulative.index,
    normalized_cumulative["Maximum Sharpe"],
    label="Maximum Sharpe"
)

plt.plot(
    normalized_cumulative.index,
    normalized_cumulative["QQQ"],
    label="QQQ"
)

plt.title("2025 Backtest: Cumulative Portfolio Performance")
plt.xlabel("Date")
plt.ylabel("Growth of $1")
plt.legend()
plt.grid(True)

plt.tight_layout()
```

```
plt.show()
```



In [124... *# Step 36: Plot Drawdown*

```
drawdown_df = pd.DataFrame(index=cumulative_returns.index)

for column in cumulative_returns.columns:
    running_max = cumulative_returns[column].cummax()
    drawdown_df[column] = cumulative_returns[column] / running_max

plt.figure(figsize=(12, 6))

plt.plot(
    drawdown_df.index,
    drawdown_df["Minimum Variance"],
    label="Minimum Variance"
)

plt.plot(
    drawdown_df.index,
    drawdown_df["Maximum Sharpe"],
    label="Maximum Sharpe"
)

plt.plot(
    drawdown_df.index,
    drawdown_df["QQQ"],
    label="QQQ"
)

plt.title("2025 Backtest: Portfolio Drawdown")
plt.xlabel("Date")
plt.ylabel("Drawdown")
plt.legend()
plt.grid(True)

plt.tight_layout()
plt.show()
```

